Statement of Financial Position

As at December 31, 2025

	Note	2025	2024
		Rs '000	Rs '000
EQUITY AND LIABILITIES			
EQUITY AND RESERVES			
Share capital	5	14,231,086	14,231,086
Capital reserves	6	28,000,080	28,000,080
Revenue reserves			
General reserves		8,802,360	8,802,360
Unappropriated profit		84,496,584	80,749,891
		93,298,944	89,552,251
Surplus on remeasurement of investments to fair value - net		53,415	96,700
		135,583,525	131,880,117
NON - CURRENT LIABILITIES			
Long term borrowings - secured	7	50,250,000	31,300,000
Deferred taxation	8	7,911,767	7,452,030
Compensated leave absences	9	3,044,643	2,614,823
		61,206,410	41,366,853
CURRENT LIABILITIES			
Current portion of long term borrowings - secured	7	11,050,000	6,900,000
Trade and other payables	10	194,053,067	186,051,998
Mark-up and profit accrued	11	940,275	923,406
Short term borrowings - secured	12	18,594,647	31,278,908
Unclaimed dividend		850,812	662,885
Provision for taxation		15,206,397	17,887,555
		240,695,198	243,704,752
TOTAL LIABILITIES		301,901,608	285,071,605
TOTAL EQUITY AND LIABILITIES		437,485,133	416,951,722
CONTINGENCIES AND COMMITMENTS	13		

The annexed notes 1 to 46 form an integral part of these financial statements.

	Note	2025	2024
		Rs '000	Rs '000
ASSETS			
NON – CURRENT ASSETS			
Property, plant and equipment	14	76,550,175	58,210,729
Intangible assets	15	1,591,378	1,571,651
Long term investments	16	79,070,285	76,780,298
Long term loans and advances – secured	17	4,529,993	1,785,266
Long term deposits and prepayments	18	91,021	91,874
		161,832,852	138,439,818
CURRENT ASSETS			
Stores, spares and loose tools	19	15,566,472	14,027,639
Stock in trade	20	38,229,377	23,744,157
Trade debts	21	20,153,212	943,632
Loans and advances – secured	22	5,682,181	4,617,195
Deposits and prepayments	23	1,058,747	1,058,628
Other receivables	24	5,163,143	17,746,496
Short term investments	25	181,455,741	203,982,113
Cash and bank balances	26	8,343,408	12,392,044
		275,652,281	278,511,904
TOTAL ASSETS		437,485,133	416,951,722

Chairman **Chief Executive** **Director** **Chief Financial Officer**

Statement of Profit or Loss

For the year ended December 31, 2025

	Note	2025	2024
		Rs '000	Rs '000
Turnover – net	27	432,410,443	373,536,920
Cost of sales	28	(301,799,729)	(246,364,351)
GROSS PROFIT		130,610,714	127,172,569
Distribution cost	29	(32,338,831)	(29,363,654)
		98,271,883	97,808,915
Finance costs	30	(6,517,974)	(6,523,895)
Other losses			
– Unwinding of GIDC liability		–	(212,406)
– Loss allowance on subsidy receivable from GoP		–	(1,203,000)
– Impairment loss on investment in a subsidiary	16.12.1	–	(4,000,000)
		–	(5,415,406)
Other expenses	31	(10,733,568)	(9,988,622)
Other income	32	39,843,744	35,231,337
PROFIT BEFORE INCOME TAX AND FINAL TAX		120,864,085	111,112,329
Final taxes – levies	33	(8,405)	(2,028,474)
PROFIT BEFORE INCOME TAX		120,855,680	109,083,855
Provision for taxation	34	(47,291,413)	(44,352,416)
PROFIT FOR THE YEAR		73,564,267	64,731,439
Earnings per share – basic and diluted (Rupees)	35	51.69	45.49

The annexed notes 1 to 46 form an integral part of these financial statements.

Chairman | **Chief Executive** | **Director** | **Chief Financial Officer**

Statement of Profit or Loss and Other Comprehensive Income

For the year ended December 31, 2025

	2025	2024
	Rs '000	Rs '000
PROFIT FOR THE YEAR	73,564,267	64,731,439
OTHER COMPREHENSIVE INCOME / (LOSS)		
Items that may be subsequently reclassified to profit or loss:		
(Deficit) / surplus on re–measurement of investments to fair value – net of tax	(43,285)	201,160
Items that will not be subsequently reclassified to profit or loss:		
Gain on re–measurement of staff retirement benefit plans – net of tax	626,307	682,093
OTHER COMPREHENSIVE INCOME – NET OF TAX	583,022	883,253
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	74,147,289	65,614,692

The annexed notes 1 to 46 form an integral part of these financial statements.

Chairman **Chief Executive** **Director** **Chief Financial Officer**

Statement of Cash Flows

For the year ended December 31, 2025

	Note	2025	2024
		Rs '000	Rs '000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	38	93,364,120	159,563,509
Finance cost paid		(6,501,105)	(7,441,365)
Income taxes paid		(49,885,586)	(44,508,737)
Levies paid		(6,346)	(1,208,555)
		(56,393,037)	(53,158,657)
Net cash generated from operating activities		36,971,083	106,404,852
CASH FLOWS FROM INVESTING ACTIVITIES			
Fixed capital expenditure		(23,579,289)	(12,136,171)
Proceeds from disposal of property, plant and equipment		73,598	62,341
Proceeds from disposal of investment property		–	855,958
Investment in Fauji Fresh n Freeze Limited		–	(5,000,000)
Investment in Agritech Limited		(3,858,798)	(10,992,049)
Loan to Agritech Limited		(1,318,294)	–
Investment in OLIVE Technical Services (Private) Limited		–	(80,000)
Other investments – net		2,178,248	2,145,801
Interest and profit received		1,658,708	3,283,618
Dividend received		22,417,021	10,828,748
Net cash (used in) / generated from investing activities		(2,428,806)	(11,031,754)
CASH FLOWS FROM FINANCING ACTIVITIES			
Long term financing:			
Draw–downs		30,000,000	20,000,000
Repayments		(6,900,000)	(19,178,333)
Repayment of lease liabilities		–	(18,147)
Dividend paid		(70,255,954)	(24,927,681)
Net cash (used in) financing activities		(47,155,954)	(24,124,161)
Net (decrease) / increase in cash and cash equivalents		(12,613,677)	71,248,937
Cash and cash equivalents at beginning of the year		176,715,058	79,766,068
Effect of exchange rate changes		(792,384)	(249,807)
Acquisition of cash and cash equivalents pursuant to merger	1.2	–	25,949,860
Cash and cash equivalents at end of the year	26.6	163,308,997	176,715,058

The annexed notes 1 to 46 form an integral part of these financial statements.

Chairman | **Chief Executive** | **Director** | **Chief Financial Officer**

Statement of Changes in Equity

For the year ended December 31, 2025

	Share capital	Capital reserves			Revenue reserves		(Deficit)/ surplus on remeasurement of investments to fair value - net	Total
		Share premium	Capital redemption reserve	Merger reserve	General reserves	Unappropriated profit		
	Rs '000							
Balance as at January 1, 2024	12,722,382	40,000	120,000	–	8,802,360	40,272,228	(104,460)	61,852,510
Transactions pursuant to merger of FFBL – note 1.2								
Issuance of shares as consideration – note 1.2.1	1,508,704	–	–	–	–	–	–	1,508,704
Merger reserve – note 1.2.3	–	–	–	27,840,080	–	–	–	27,840,080
	1,508,704	–	–	27,840,080	–	–	–	29,348,784
Total comprehensive income for the year								
Profit for the year	–	–	–	–	–	64,731,439	–	64,731,439
Other comprehensive income – net of tax	–	–	–	–	–	682,093	201,160	883,253
	–	–	–	–	–	65,413,532	201,160	65,614,692
Transactions with owners of the Company								
Distributions:								
Final dividend 2023: Rs 4.10 per share	–	–	–	–	–	(5,216,177)	–	(5,216,177)
First interim dividend 2024: Rs 5.50 per share	–	–	–	–	–	(6,997,310)	–	(6,997,310)
Second interim dividend 2024: Rs 10 per share	–	–	–	–	–	(12,722,382)	–	(12,722,382)
	–	–	–	–	–	(24,935,869)	–	(24,935,869)
Balance as at December 31, 2024	14,231,086	40,000	120,000	27,840,080	8,802,360	80,749,891	96,700	131,880,117
Total comprehensive income for the year								
Profit for the year	–	–	–	–	–	73,564,267	–	73,564,267
Other comprehensive income / (loss) – net of tax	–	–	–	–	–	626,307	(43,285)	583,022
	–	–	–	–	–	74,190,574	(43,285)	74,147,289
Transactions with owners of the Company								
Distributions:								
Final dividend 2024: Rs 21.00 per share	–	–	–	–	–	(29,885,283)	–	(29,885,283)
First interim dividend 2025: Rs 7.00 per share	–	–	–	–	–	(9,961,761)	–	(9,961,761)
Second interim dividend 2025: Rs 12.00 per share	–	–	–	–	–	(17,077,304)	–	(17,077,304)
Third interim dividend 2025: Rs 9.50 per share	–	–	–	–	–	(13,519,533)	–	(13,519,533)
	–	–	–	–	–	(70,443,881)	–	(70,443,881)
Balance as at December 31, 2025	14,231,086	40,000	120,000	27,840,080	8,802,360	84,496,584	53,415	135,583,525

The annexed notes 1 to 46 form an integral part of these financial statements.

Chairman **Chief Executive** **Director** **Chief Financial Officer**

1. CORPORATE AND GENERAL INFORMATION

1.1 The Company and its operations

Fauji Fertilizer Company Limited (the Company) is a public company incorporated in Pakistan under the Companies Act, 1913, (now the Companies Act, 2017) and its shares are quoted on the Pakistan Stock Exchange. The Company is domiciled in Rawalpindi. The principal activity of the Company is manufacturing, purchasing and marketing of fertilizers and chemicals, including investment in other fertilizer, chemical, cement, energy generation, food processing and banking operations. The Company is a subsidiary of Fauji Foundation (FF), which is also its ultimate parent entity.

The business units of the Company include the following:

Business unit	Geographical locations
Registered office	Sona Tower, 156 – The Mall, Rawalpindi Cantt, Punjab
Production plants	
Goth Machhi	Goth Machhi, Sadiqabad (District: Rahim Yar Khan), Punjab
Mirpur Mathelo	Mirpur Mathelo (District: Ghotki), Sindh
Karachi	Plot No. EZ/I/P–1 Eastern Zone, Port Qasim, Karachi
Karachi office	B–35, KDA Scheme No. 1, Karachi, Sindh
Islamabad office	FFBL Tower, C1/C2, Sector B, Jinnah Boulevard DHA Phase II, Islamabad
Marketing division	Sona Tower Lahore, 01–H Gulberg II, Lahore, Punjab
Zonal marketing offices	
North zone	Lahore Trade Centre, 11 Sharah–e–Aiwan–e–Tijarat Lahore, Punjab
Central zone	Ali Maskan, District Jail Road, Multan, Punjab
South zone	B–35, KDA Scheme # 1, Karsaz, Karachi, Sindh
Regional marketing offices	
Faisalabad region	House No. 786, Street No. 5, Zia Town, East Canal Road, Faisalabad
Sahiwal region	77–B, Canal Colony, Off Farid Town Road, Sahiwal, Punjab
Lahore region	Lahore Trade Centre, 11 Shahrah–e–Aiwan–e–Tijarat, Lahore, Punjab
Sarghodha region	House No.35, Shah Muhammad Colony, Main Faisalabad Road, Sargodha Cantt
Peshawar region	9–D, Rafiqui Lane, Peshawar Cantt, Khyber Pakhtunkhwa
Bahawalpur region	House No. 39–A Tipu Shaheed Road, Model Town A, Bahawalpur, Punjab
D. G. Khan region	FFC Regional Office, House No. 46 – B ,Gulberg Colony, Multan Road, DG Khan
Multan region	Ali–Maskan, District Jail Road, Multan, Punjab
Rahim Yar Khan region	37–A, Ali Block, Abbasia Town, Rahim Yar Khan, Punjab
Vehari region	House No.11, Tariq Bin Ziyad Colony, Ludden Road, Vehari, Punjab
Hyderabad region	Bungalow No. 208, DHA, Phase–2, Hyderabad, Sindh
Sukkur region	FFC Regional Office, B 247–248 Awakhat Nagar, Airport Road, Sukkur
Nawabshah region	House No. A–11, Housing Society, Near Thalassemia Hospital, Nawabshah, Sindh

The Company has district marketing offices, warehouses and sona centres located across Pakistan, the region–wise details of which are listed below:

	No. of district offices	No. of warehouses	No. of sona centres
Faisalabad region	5	13	7
Sahiwal region	4	11	6
Lahore region	6	16	10
Sarghodha region	5	11	9
Peshawar region	5	10	8
Bahawalpur region	4	8	8
D. G. Khan region	4	11	6
Multan region	4	10	6
Rahim Yar Khan region	4	7	6
Vehari region	4	11	6
Hyderabad region	6	13	9
Sukkur region	7	17	13
Nawabshah region	5	10	6
	63	148	100

1.2 Merger/ amalgamation of Fauji Fertilizer Bin Qasim Limited with and into the Company (during the year ended December 31, 2024)

Fauji Fertilizer Bin Qasim Limited (FFBL) was a public limited Company incorporated in Pakistan under the Companies Ordinance, 1984 (now replaced by Companies Act, 2017 with effect from May 31, 2017). The shares of FFBL were quoted on Pakistan Stock Exchange. The principal objective of FFBL was manufacturing, purchasing and marketing of fertilizers. The registered office of FFBL was situated at FFBL Tower, C1/C2, Sector B, Jinnah Boulevard, DHA Phase II, Islamabad, Pakistan. FFBL commenced its commercial production effective January 1, 2000 and had a manufacturing plant in Port Qasim, Karachi.

In the year 2024, a Scheme of Arrangement (the Scheme) for merger/ amalgamation of FFBL with and into the Company was approved through resolutions passed by Board of Directors of both the companies during their meetings held on September 20, 2024. The Scheme was also approved by the members of both companies in their Extra Ordinary General Meetings held on November 4, 2024. The Scheme was sanctioned by the Honorable Lahore High Court, Rawalpindi Bench (the Court) in its court hearing dated November 18, 2024 and through its certified order dated December 11, 2024. The Scheme complied with the provisions of sections 279 to 283 and 285(8) of the Companies Act, 2017 (the Act). The effective date of merger/ amalgamation was July 1, 2024 i.e the date at which all assets and liabilities of FFBL were vested with the Company. Consequently, FFBL stands dissolved without winding up.

The consideration transferred was 150.87 million fully paid ordinary shares of Rs 10 each issued to the shareholders of FFBL (other than the Company) in accordance with the approved swap ratio (i.e. 1 share of the Company issued for 4.29 shares of FFBL). The swap ratio was determined based on values and calculations set forth in the Swap Computation Letter dated September 20, 2024, issued by M/s KPMG Taseer Hadi & Co., Chartered Accountants, and was approved by the Board of Directors of both companies.

In the financial statements for the year ended December 31, 2024, aforementioned merger/ amalgamation of FFBL with and into the Company had been accounted for using predecessor method of accounting in accordance with the requirements of accounting standard issued by the Institute of Chartered Accountants of Pakistan on "Accounting for Common Control Transactions" as notified by Securities and Exchange Commission (SECP) under SRO 53 (I)/2022 dated January 12, 2022.

FFBL's assets and liabilities as of July 1, 2024 i.e. the effective date of merger/ amalgamation had been amalgamated on a line–by–line basis in the Company's financial statements at their respective carrying amounts and the difference in the value of net assets acquired and the consideration transferred to the shareholders of FFBL (other than the Company) had been recognised as a "Merger reserve" directly within equity in the financial statements of the Company. Furthermore, the items appearing in the statement

of profit or loss and the statement of profit or loss and other comprehensive income of FFBL were incorporated prospectively from the effective date of merger/ amalgamation into the financial statements of the Company. Consequently, the comparative information in these financial statements do not reflect the results of FFBL for the period before the merger transaction occurred.

1.2.1 Consideration transferred

Fully paid up ordinary shares of the Company having par value of Rs 10 per share	
issued to FFBL shareholders other than the Company (No.)	150,870,449
Nominal value (Rs/ per share)	10
Total nominal value of consideration transferred (Rupees '000)	1,508,704

1.2.2 FFBL's assets acquired and liabilities assumed

The details of FFBL's balances, based on audited financial statements as of June 30, 2024 which had been merged/ amalgamated into the Company, were as follows:

	Carrying amounts as on merger date
	Rs '000
ASSETS	
Non–current assets	
Property, plant and equipment	9,456,408
Investment property	270,242
Long term investments	25,139,282
Long term advances	221,787
Long term deposits	78,643
	35,166,362
Current assets	
Stores and spares	2,774,950
Stock in trade	28,172,859
Trade debts	1,785,285
Advances	1,847,087
Trade deposits and short term prepayments	7,385
Other receivables	13,375,740
Sales tax refundable – net	7,601,270
Short term investments	29,854,746
Cash and bank balances	22,913,552
	108,332,874
Total assets	143,499,236

		Carrying amounts as on merger date
		Rs '000
	LIABILITIES	
	Non–current liabilities	
	Long term loans	(7,559,523)
	Deferred tax liabilities	(1,683,355)
	Provision for compensated leave absences	(534,970)
		(9,777,848)
	Current liabilities	
	Trade and other payables	(58,810,029)
	Contract liabilities	(4,155,947)
	Unpaid dividend	(10,954)
	Unclaimed dividend	(126,876)
	Provision for income tax	(8,248,166)
	Accrued interest	(537,323)
	Short term borrowings	(19,806,806)
	Current portion of long term loans	(5,523,810)
		(97,219,911)
	Total liabilities	(106,997,759)
	Carrying amount of FFBL's net assets as on merger date	36,501,477

		Note	Rs '000
1.2.3	**Merger reserve**		
	Merger reserve arising from the transaction had been recognized directly within the equity as follows :		
	Total nominal value of consideration transferred	1.2.1	(1,508,704)
	Company's existing stake/ investment in FFBL prior to merger – at cost		(7,152,693)
			(8,661,397)
	Carrying amount of FFBL's net assets as on acquisition date	1.2.2	36,501,477
	Merger reserve		27,840,080

1.2.4 Post merger/ amalgamation of FFBL with and into the Company, FFBL had contributed Rs 134,509,477 thousand in turnover, Rs 19,826,590 thousand in profit before income tax and Rs 11,210,004 thousand in profit for the year ended December 31, 2024 of the Company.

2. BASIS OF PREPARATION

2.1 Statement of compliance

These financial statements have been prepared in accordance with the accounting and reporting standards as applicable in Pakistan. Accounting and reporting standards applicable in Pakistan comprise of:

- IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) as notified under the Companies Act, 2017; and
- Provisions of, directives and notifications issued under the Companies Act, 2017.

Where provisions of, directives and notifications issued under the Companies Act, 2017 differ from the IFRS Accounting Standards, the provisions of, directives and notifications issued under the Companies Act, 2017 have been followed.

2.2 Basis of measurement

These financial statements have been prepared under the historical cost convention except for certain financial instruments, which are carried at their fair values and obligations for staff retirement benefits which are carried at present values of defined benefit obligation net of fair value of plan assets determined through actuarial valuation.

These financial statements are the separate financial statements of the Company in which investments in subsidiary companies, associate and jointly controlled entities are accounted for on the basis of direct equity interest rather than on the basis of reported results. Consolidated financial statements are prepared separately.

2.3 Functional and presentation currency

Items included in the financial statements are measured using the currency of the primary economic environment in which the Company operates. These financial statements are presented in Pak Rupees, which is the Company's functional currency.

2.4 Use of accounting estimates and judgments

In preparing these financial statements, management has made judgments, estimates and assumptions that affect the application of the Company's accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to estimates are recognized prospectively.

The areas where various assumptions and estimates are significant to the Company's financial statements or where judgment was exercised in application of accounting policies are as follows:

i) Employee retirement benefits – note 3.3, 9 and 24.5
ii) Estimate of useful life of property, plant and equipment – note 3.5 and 14
iii) Estimate of fair value of investments through other comprehensive income – note 3.13 and 16
iv) Provisions and contingencies – note 3.1, 3.2 and 13
v) Impairment of non–financial assets – note 3.8
vi) Estimate of recoverable amount of investment in subsidiaries and associates – note 3.7 and 16
vii) Provision for taxation – note 3.4 and 34
viii) Expected credit loss allowance – note 3.11, 21 and 24
ix) Provision for slow moving spares and stock in trade – note 3.9, 3.10, 19 and 20
x) Assessment of significant influence in an associate and control over a subsidiary – note 3.7

2.5 Measurement of fair values

A number of the Company's accounting policies and disclosures require the measurement of fair value, both for financial and non–financial assets and liabilities.

The Company has an established control framework with respect to the measurement of fair values. Management has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values.

Management regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the management assesses the evidence obtained from the third parties to support the conclusion that these valuations meet the requirements of the approved accounting standards as applicable in Pakistan, including the level in the fair value hierarchy in which the valuations should be classified.

When measuring the fair value of an asset or a liability, the Company uses market observable data as far as possible. Fair values are categorized into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities.

Level 2: inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorized in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Company recognizes transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

3. MATERIAL ACCOUNTING POLICY INFORMATION

The material accounting policies set out below have been applied consistently to all periods presented in these financial statements.

3.1 Provisions

A provision is recognized in the statement of financial position when the Company has a legal or constructive obligation as a result of a past event, and it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of obligation. Provisions are determined by discounting the expected future cash flows at a pre tax discount rate that reflects current market assessment of time value of money and risk specific to the liability.

Provisions are reviewed at each reporting date and adjusted to reflect current best estimate.

3.2 Contingent liabilities

A contingent liability is disclosed when the Company has a possible obligation as a result of past events, whose existence will be confirmed only by the occurrence or non–occurrence, of one or more uncertain future events not wholly within the control of the Company; or the Company has a present legal or constructive obligation that arises from past events, but it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation, or the amount of the obligation cannot be measured with sufficient reliability.

3.3 Employee retirement benefits

3.3.1 Defined benefit plans

Funded gratuity schemes – I & II and pension scheme

The Company operates two defined benefit funded gratuity schemes and a pension scheme for all eligible employees who complete the qualifying period of service and age. Pursuant to merger/ amalgamation of FFBL with and into the Company, as detailed in note 1.2, FFBL's gratuity scheme balances had been merged into the Company which has been presented as 'gratuity scheme – II' in these financial statements.

These funds are administered by trustees. Annual contributions to the gratuity and management staff pension funds are based on actuarial valuation using Projected Unit Credit Method, related details of which are given in note 24.5.11 to the financial statements.

Charge for the year is recognized in profit or loss. Actuarial gain or losses arising on actuarial valuation are recorded directly in the other comprehensive income.

Calculation of gratuity and pension requires assumptions to be made of future outcomes which mainly include increase in remuneration, expected long–term return on plan assets and the discount rate used to convert future cash flows to current values. Calculations are sensitive to changes in the underlying assumptions.

3.3.2 Defined contribution plan

Provident funds

The Company operates two defined contribution provident funds for all eligible employees for which the Company's contributions are charged to profit or loss at the rate of 10% of basic salary.

3.3.3 Compensated leave absences schemes

The Company operates two compensated leave absences schemes, details of which are as follows :

Scheme – I

The Company grants compensated absences to all its employees who have completed one year's working service with the Company in accordance with the rules. Under this scheme, employees are entitled to a maximum of 30 days leaves for each completed year of service. Provisions are made in accordance with the actuarial recommendation. Actuarial valuation is carried out using the Projected Unit Credit Method, related details of which are given in note 9.1 to the financial statements. Actuarial gains and losses are recognised in the profit or loss in the year in which they arise.

Scheme – II

The Company grants compensated absences to all its permanent employees (who had been transferred from FFBL to the Company pursuant to the merger/ amalgamation of FFBL with and into the Company w.e.f July 1, 2024) in accordance with the rules of the Company. Under this unfunded scheme, regular employees are entitled to maximum 30 days privilege leave for each completed year of service. Unutilized privileged leaves accumulated as on April 30, 2021 are encashable at the time of separation from the service on the basis of last drawn gross salary. Unutilized privilege leaves available for a year (effective from May, 2021) lapse by end of next March and are encashable only upon separation of employee in the same year.

Provisions in respect of unutilized privileged leaves accrued as of April 30, 2021, are made in accordance with the actuarial recommendation. Actuarial valuation is carried out using the Projected Unit Credit Method, related details of which are given in note 9.1 to the financial statements. Actuarial gains and losses are recognized in income in the year in which they arise.

The Company revised its policy for compensated absences under this scheme in 2021. No further accumulation of annual leaves is allowed, however, annual leaves already accumulated (as of April 30, 2021) will be continued till the time these are consumed by the individual otherwise it will be encashed on current gross at the time of separation.

3.4 Taxation

Income tax expense comprises current and deferred tax.

Current tax

Provision for current taxation is based on taxable income at the applicable rates of taxation after taking into account tax credits and tax rebates, if any. Income tax expense is recognized in profit or loss except to the extent that it relates to items recognized directly in equity or in other comprehensive income.

The Company takes into account the current income tax law and decisions taken by the taxation authorities. Instances where the Company's views differ from the income tax department at the assessment stage and where the Company considers that its view on items of material nature is in accordance with law, the amounts are shown as contingent liabilities.

Deferred tax

Deferred tax is recognized using balance sheet method in respect of temporary differences arising from differences between the carrying amount of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are recognized for all taxable temporary differences and deferred tax assets are recognized to the extent that it is probable that taxable profits will be available against which the deductible temporary differences, unused tax losses and tax credits can be utilized. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realized. Deferred tax is not recognized on temporary differences arising from the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences arising on the initial recognition of goodwill.

Deferred tax is calculated at the rates that are expected to apply to the period when the differences reverse, based on tax rates that have been enacted. Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different taxable entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realized simultaneously.

Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation and considers whether it is probable that a taxation authority will accept an uncertain tax treatment. The Company measures its tax balances either based on the most likely amount or the expected value, depending on which method provides a better prediction of the resolution of the uncertainty.

Levy

The tax charged under Income Tax Ordinance, 2001 which is not based on taxable income or any amount paid / payable in excess of the calculation based on taxable income, which is not adjustable against the future tax liability, is classified as levy in the statement of profit or loss and other comprehensive income as these levies fall under the scope of IFRIC 21 / IAS 37.

3.5 Property, plant and equipment and capital work in progress

Property, plant and equipment are stated at cost less accumulated depreciation and any impairment losses, except freehold land and capital work in progress, which are stated at cost less impairment losses, if any. Cost comprises acquisition and other directly attributable costs.

Depreciation is provided on a straight–line basis and charged to profit or loss to write off the depreciable amount of each asset over its estimated useful life at the rates specified in note 14 to the financial statements. Depreciation on addition in property, plant and equipment is charged from the date when the asset becomes available for use upto the date of its disposal.

The cost of replacing part of an item of property, plant and equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be measured reliably. The carrying amount of the replaced part is derecognized, if any. The costs of the day–to–day servicing of property, plant and equipment are recognized in profit or loss as incurred.

Gains and losses on disposal of an item of property, plant and equipment are determined by comparing the proceeds from disposal with the carrying amount of property, plant and equipment, and are recognized net within other income in profit or loss.

The Company reviews the useful life and residual value of property, plant and equipment on a regular basis. Any change in estimates in future years might affect the carrying amounts of the respective items of property, plant and equipment with a corresponding effect on depreciation charge and impairment.

3.6 Intangible assets

Goodwill

Goodwill arises on the acquisition of subsidiaries or businesses and represents the excess of the consideration transferred, the amount of any non–controlling interest in the acquiree and the acquisition–date fair value of any previous equity interest in the acquiree over the fair value of the identifiable net assets acquired. If the total of consideration transferred, non–controlling interest recognized and previously held interest measured at fair value is less than the fair value of the net assets of the subsidiary acquired, the difference is recognized directly in the profit or loss.

For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash generating units (CGUs), or groups of CGUs, that is expected to benefit from the synergies of the combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of the CGU containing the goodwill is compared to the recoverable amount, which is the higher of value in use and the fair value less costs of disposal. Any impairment is recognized immediately as an expense in profit or loss and is not subsequently reversed.

With finite useful life

Intangibles are stated at the cash price equivalent of the consideration given less accumulated amortization and impairment loss, if any. Intangibles with finite useful lives are amortized over the period of their useful lives. Rates for amortization are disclosed in note 15 in the financial statements. Amortization is charged on a straight line basis over the estimated useful life and is included in the profit or loss.

3.7 Investment in subsidiaries, associates and joint arrangements

i) In subsidiary entities

Subsidiaries are entities controlled by the Company. The Company controls an entity when it is exposed to, or has right to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Investment in subsidiary is initially recognized at cost, which is the fair value of the consideration paid / payable on acquisition of the subsidiary. At subsequent reporting date, recoverable amounts are estimated to determine the extent of impairment loss, if any, and carrying amount of investment is adjusted accordingly. Impairment losses are recognized as an expense in profit or loss. Where impairment loss subsequently reverses, the carrying amount of investment is increased to its revised recoverable amount but limited to the extent of initial cost of investment. Reversal of impairment losses are recognized in the profit or loss.

The profits and losses of subsidiaries are carried forward in their financial statements and not dealt within these financial statements except to the extent of dividend declared by the subsidiaries which are recognized in other income. Gains and losses on disposal of investment is included in other income. When the disposal of investment in subsidiary resulted in loss of control such that it becomes an associate, the retained investment is carried at cost.

ii) In associates

Associates are entities in which the Company has significant influence but not control over the financial and operating policies. Investments in associates are initially recognized at cost. At subsequent reporting date, the recoverable amounts are estimated to determine the extent of impairment losses, if any, and carrying amounts of investments are adjusted accordingly. Impairment losses are recognized as expense in the profit or loss. Where impairment losses subsequently reverse, the carrying amounts of the investments are increased to the revised recoverable amounts but limited to the extent of initial cost of investments. A reversal of impairment loss is recognized in the profit or loss.

The profits and losses of associates are carried forward in their financial statements and not dealt within these financial statements except to the extent of dividend declared by the associates which are recognized in other income. Gains and losses on disposal of investment is included in other income.

iii) Interest in joint arrangements

A joint arrangement is one in which two or more parties have joint control. Joint control is the contractually agreed sharing of control of an arrangement, which exist only when decisions about the relevant activities require the unanimous consent of the parties sharing control. Investments in joint arrangements are classified as either joint operations or joint ventures, depending on the contractual rights and obligations that each investor has, rather than the legal structure of the joint arrangement.

Joint operations

The Company reports its interests in joint operations using proportionate consolidation – the Company's share of the assets, liabilities, income and expenses of the joint operations are combined with the equivalent items in the financial statements on a line–by–line basis. Where the Company transacts with its joint operations, unrealised profits and losses are eliminated to the extent of the Company's interest in the joint operation.

Joint ventures

Joint ventures are accounted for using the equity method. Under the equity method of accounting, interests in joint ventures are initially recognised at cost. At subsequent reporting date, the recoverable amounts are estimated to determine the extent of impairment losses, if any, and carrying amounts of investments are adjusted accordingly. Impairment losses are recognized as expense in the profit or loss. Where impairment losses subsequently reverse, the carrying amounts of the investments are increased to the revised recoverable amounts but limited to the extent of initial cost of investments. A reversal of impairment loss is recognized in the profit or loss.

The profits and losses of joint ventures are carried forward in their financial statements and not dealt within these financial statements except to the extent of dividend declared by the associates which are recognized in other income. Gains and losses on disposal of investment is included in other income.

3.8 Impairment of non–financial assets

The carrying amounts of non–financial assets other than inventories, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. The recoverable amount of an asset or cash–generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre–tax discount rate that reflects current market assessment of the time value of money and the risks specific to the asset. For the purpose of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets (the "cash–generating unit, or CGU").

The Company's corporate assets do not generate separate cash inflows. If there is an indication that a corporate asset may be impaired, then the recoverable amount is determined for the CGU to which the corporate asset belongs. An impairment loss is recognized if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognized in profit or loss.

Impairment loss recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized.

3.9 Stores, spares and loose tools

Stores, spares and loose tools are valued at lower of weighted average cost and net realizable value.

For items which are slow moving and / or identified as surplus to the Company's requirements, adequate provision is made for any excess book value over estimated net realizable value. The Company reviews the carrying amount of stores, spare parts and loose tools on a regular basis and provision is made for obsolescence.

Net realizable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and estimated costs necessary to make the sale.

The Company reviews the carrying amount of stores, spares and loose tools on a regular basis and as appropriate, these are written down to its net realizable value or provision is made for obsolescence if there is any change in usage pattern and / or physical form of related inventory.

3.10 Stock in trade

Stocks are valued at the lower of cost and net realizable value.

Cost is determined as follows:

Raw materials	at weighted average purchase cost
Work in process and finished goods	at weighted average cost of purchase, raw materials and applicable manufacturing expenses

Cost of raw material, work in process and finished goods comprises of direct materials, labor and appropriate manufacturing overheads. Net realizable value signifies the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make the sale.

The Company reviews the carrying amount of stock in trade on a regular basis and as appropriate, these are written down to its net realizable value or provision is made for obsolescence if there is any change in usage pattern and / or physical form of related inventory.

3.11 Trade debts

These are recognized and carried at the original invoice amounts, being the fair value, less loss allowance, if any. For measurement of loss allowance for trade debts, the Company applies IFRS 9 simplified approach to measure the expected credit losses. IFRS 9 introduces the Expected Credit Loss (ECL) model which requires the Company to recognize an allowance for doubtful debt on all financial assets carried at amortized cost (including, for example, trade debts and other receivables), as well as debt instruments classified as financial assets carried at fair value through other comprehensive income, since initial recognition, irrespective whether a loss event has occurred.

Trade receivables and contract assets are written off where there is no reasonable expectation of recovery. Indicators that there is no reasonable expectation of recovery include, amongst others, the failure of a debtor to engage in a repayment plan with the Company, and a failure to make contractual payments for a period of greater than 120 days past due.

3.12 Turnover

Turnover from the sale of goods in the course of ordinary activities is measured at the fair value of the consideration received or receivable, net of returns, trade discounts, government levies and volume rebates. Turnover is recognized when or as performance obligations are satisfied by transferring control of promised goods to a customer and control transfers at a point in time generally on the dispatch of the goods to the customer except for direct sales where the control is transferred upon delivery of goods to the customer.

The credit limits in contracts with customers normally ranges from 30 days to 180 days, and is secured against bank guarantee. The Company's remaining sales are against advance payment from its customers. In determining the transaction price for the sale of fertilizer, the Company considers the effects of variable consideration, existence of a significant financing component, noncash consideration, and consideration payable to the customer, if any.

(i) Post–sales incentives

These post–sales incentives are based on monthly volume of purchases made by individual customers and is settled in cash, within 30 days of the month to which it relates to. Accordingly, no estimation uncertainty arises and the amount of payable is set off against the related trade debts.

(ii) Financing component

The Company allows credit period of 30 days to 180 days to its certain customers, for the sale of fertilizer, against a credit charge determined based upon volume of sales and period of credit. There is a financing component for these contracts considering the prevailing interest rate in the market.

Government subsidy on sale of fertilizer is recognised when the right to receive such subsidy has been established and the underlying conditions are met. Government subsidy is recognised in other income.

Scrap sales and miscellaneous receipts are recognized on realized amounts.

3.13 Financial instruments

Financial assets and financial liabilities are recognised in the statement of financial position when the Company becomes a party to the contractual provisions of the instrument.

(a) Financial assets

Classification

The Company classifies its financial assets in the following measurement categories:

(i) Amortised cost, where the effective interest rate method will apply;

(ii) Fair value through profit or loss (FVTPL);

(iii) Fair value through other comprehensive income (FVTOCI).

The classification depends on the entity's business model for managing the financial assets and the contractual terms of the cash flows.

For assets measured at fair value, gains and losses will either be recorded in profit or loss or OCI. For investments in equity instruments that are not held for trading, this will depend on whether the Company has made an irrevocable election at the time of initial recognition to account for the equity investment at FVTOCI.

The Company reclassifies debt investments when and only when its business model for managing those assets changes.

Recognition and derecognition

Regular way purchases and sales of financial assets are recognised on trade-date, the date on which the Company commits to purchase or sell the asset. Further, assets are derecognised when the rights to receive cash flows from the financial assets have expired or have been transferred and the Company has transferred substantially all the risks and rewards of ownership.

Measurement

At initial recognition, the Company measures a financial asset at its fair value plus, in the case of a financial asset not at FVTPL, transaction costs that are directly attributable to the acquisition of the financial asset. Transaction costs of financial assets carried at FVTPL are expensed in profit or loss.

Debt instruments

Amortised cost

Assets that are held for collection of contractual cash flows where those cash flows represent solely payments of principal and interest are measured at amortised cost. Interest income from these financial assets is included in other operating income using the effective interest rate method. Any gain or loss arising on derecognition is recognised directly in profit or loss and presented in other operating gains/(losses), together with foreign exchange gains and losses. Impairment losses are presented as separate line item in the profit or loss.

Fair value through other comprehensive income (FVTOCI)

Assets that are held for collection of contractual cash flows and for selling the financial assets, where the assets' cash flows represent solely payments of principal and interest, are measured at FVTOCI. Movements in the carrying amount are taken through OCI, except for the recognition of impairment gains or losses and interest revenue which are recognised in profit or loss. When the financial asset is derecognised, the cumulative gain or loss previously recognised in OCI is reclassified from equity to profit or loss and recognised in other operating gains/(losses). Interest income from these financial assets is included in other operating income using the effective interest rate method. Impairment expenses are presented as separate line item in the profit or loss.

Fair value through profit and loss (FVTPL)

Assets that do not meet the criteria for amortised cost or FVTOCI are measured at FVTPL. A gain or loss on a debt investment that is subsequently measured at FVTPL is recognised in profit or loss and presented net within other operating gains/(losses) in the period in which it arises.

Equity instruments

The Company subsequently measures all equity investments at fair value. Where the Company's management has elected to present fair value gains and losses on equity investments in OCI, there is no subsequent reclassification of fair value gains and losses to profit or loss following the derecognition of the investment. Dividends from such investments continue to be recognised in profit or loss as other operating income when the Company's right to receive payments is established.

Changes in the fair value of financial assets at FVTPL are recognised in other gains/(losses) in the profit or loss as applicable. Impairment losses (and reversal of impairment losses) on equity investments measured at FVTOCI are not reported separately from other changes in fair value.

Impairment of financial assets

The Company assesses on a forward looking basis the expected credit losses associated with its debt instruments carried at amortised cost and FVTOCI. The impairment methodology applied depends on whether there has been a significant increase in credit risk.

For trade and other receivables, the Company applies the simplified approach permitted by IFRS 9, which requires expected lifetime losses to be recognised from initial recognition of the receivables.

The Company recognises life time ECL for trade debts and other receivables, using the simplified approach. The expected credit losses on these financial assets are estimated using a provision matrix based on the Company's historical credit loss experience, adjusted for factors that are specific to the debtors and other receivables, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including time value of money where appropriate.

The measurement of expected credit losses is a function of the probability of default, loss given default (i.e. the magnitude of the loss if there is a default) and the exposure at default. The assessment of the probability of default and loss given default is based on historical data adjusted by forward-looking information as described above. As for the exposure at default for financial assets, this is represented by the assets' gross carrying amount at the reporting date.

Recognition of loss allowance

The Company recognizes an impairment gain or loss in the profit or loss for all financial instruments with a corresponding adjustment to their carrying amount through a loss allowance account, except for investments in debt instruments that are measured at FVTOCI, for which the loss allowance is recognised in other comprehensive income and accumulated in the investment revaluation reserve, and does not reduce the carrying amount of the financial asset in the statement of financial position.

Write-off

The Company writes off financial assets, in whole or in part, when it has exhausted all practical recovery efforts and has concluded that there is no reasonable expectation of recovery. The assessment of no reasonable expectation of recovery is based on unavailability of debtor's sources of income or assets to generate sufficient future cash flows to repay the amount.

The Company may write-off financial assets that are still subject to enforcement activity. Subsequent recoveries of amounts previously written off will result in impairment gains.

Significant increase in credit risk

The Company considers the probability of default upon initial recognition of asset and whether there has been a significant increase in credit risk on an ongoing basis throughout each reporting period. To assess whether there is a significant increase in credit risk, the Company compares the risk of a default occurring on the instrument as at the reporting date with the risk of default as at the date of initial recognition. It considers available reasonable and supportable forward-looking information.

The following indicators are considered while assessing credit risk:

- actual or expected significant adverse changes in business, financial or economic conditions that are expected to cause a significant change to the debtor's ability to meet its obligations;
- actual or expected significant changes in the operating results of the debtor;
- significant increase in credit risk on other financial instruments of the same debtor; and
- significant changes in the value of the collateral supporting the obligation or in the quality of third-party guarantees, if applicable.

Definition of default

The Company considers the following as constituting an event of default for internal credit risk management purposes as historical experience indicates that receivables that meet either of the following criteria are generally not recoverable.

- when there is a breach of financial covenants by the counterparty; or
- information developed internally or obtained from external sources indicates that the debtor is unlikely to pay its creditors, including the Company, in full (without taking into account any collaterals held by the Company).

(b) Financial liabilities

Classification, initial recognition and subsequent measurement

The Company classifies its financial liabilities in the following categories:

- at fair value through profit or loss; and
- other financial liabilities

The Company determines the classification of its financial liabilities at initial recognition. All financial liabilities are recognized initially at fair value and, in the case of other financial liabilities, also include directly attributable transaction costs. The subsequent measurement of financial liabilities depends on their classification, as follows:

(i) Fair value through profit or loss

Financial liabilities at fair value through profit or loss include financial liabilities held-for-trading and financial liabilities designated upon initial recognition as being at fair value through profit or loss.

(ii) Other financial liabilities

After initial recognition, other financial liabilities which are interest bearing are subsequently measured at amortized cost, using the effective interest rate method. Gain and losses are recognized in the profit or loss, when the liabilities are derecognized as well as through effective interest rate amortization process.

Derecognition of financial liabilities

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or they expire. The difference between the carrying amount of a financial liability extinguished or transferred to another party and the consideration paid, including any non–cash assets transferred or liabilities assumed is recognised in profit or loss.

Off–setting financial assets and financial liabilities

Financial assets and liabilities are offset and the net amount reported in the statement of financial position, when there is legally enforceable right to set off the recognized amounts and there is an intention to settle on a net basis, or realize the assets and settle the liability simultaneously.

3.14 Cash and cash equivalents

Cash and cash equivalents comprise cash in hand, cash with banks on current, saving and deposit accounts, short term borrowings and other short term highly liquid investments that are readily convertible to known amounts of cash and which are subject to insignificant risk of change in value.

3.15 Business combinations

3.15.1 Business combinations, other than merger/ amalgamation under common control, are accounted for by applying the acquisition method of accounting. The cost of acquisition is measured as the fair value of assets given, equity instruments issued and the liabilities incurred or assumed at the date of acquisition. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement, if any. Acquisition–related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The excess of the consideration transferred over the fair value of the Company's share of identifiable net assets acquired is recorded as goodwill. If this is less than the fair value of the net assets acquired in the case of a bargain purchase, the difference is recognised directly in the profit and loss account.

3.15.2 Merger/ amalgamation under common control are accounted for by applying predecessor method of accounting in accordance with the requirements of the accounting standard 'Accounting for Common Control Transactions' developed by the Institute of Chartered Accountants of Pakistan and notified by the Securities and Exchange Commission of Pakistan (SECP) vide its S.R.O. 53(I)/2022 dated January 12, 2022.

As of the date of common control transaction, the Company recognises the assets acquired and liabilities assumed of the transferring entity. The Company recognises as part of applying the predecessor method only the consideration transferred for the transferring entity and the assets acquired and liabilities assumed in exchange for the transferring entity.

The Company measures the assets acquired and liabilities assumed of the transferring entity at their carrying amounts as reflected in the financial statements of the transferring entity, at the date of common control transaction. No fair–value adjustments to the assets and liabilities of the transferring entity; or recognition of new assets or liabilities for the transferring entity are recorded in the financial statements.

4. SUMMARY OF OTHER ACCOUNTING POLICIES

Other than material accounting policies applied in the preparation of these financial statements are set out below for ease of user's understanding of these financial statements. These polices have been applied consistently for all periods presented, unless otherwise stated.

4.1 Foreign currency transaction and translation

Transactions in foreign currency are accounted for at the exchange rates prevailing on the date of transactions. Monetary assets and liabilities denominated in foreign currencies at the year end are translated in Pakistan Rupees at exchange rates ruling at the reporting date. Non monetary items that are measured in terms of historical cost in a foreign currency are translated using exchange rate at the date of transaction. Exchange differences are included in profit or loss for the year.

4.2 Dividend distribution

Dividend is recognized as a liability in the period in which it is declared. Movement in reserves is recognized in the year in which it is approved. Final dividend distributions to the Company's shareholders are recognised as a liability in the financial statements in the period in which the dividends are approved by the Company's shareholders at the Annual General Meeting, while interim dividend distributions are recognised in the period in which the dividends are declared by the Board of Directors.

4.3 Trade and other payables

Liabilities for trade and other payables are carried at amortised cost, which is the fair value of the consideration to be paid in future for goods and services received, whether or not billed to the Company.

4.4 Contract liability

A contract liability is recognized if a payment is received or a payment is due (whichever is earlier) from a customer before the Company transfers the related good. Contract liabilities are recognized as revenue when the Company performs under the contract (i.e., transfers control of the related goods to the customer).

4.5 Deposits and other receivables

These are recognized at cost, which is the fair value of the consideration given. For measurement of loss allowance for advances, deposits and other receivables, the Company applies the IFRS 9 simplified approach to measure the expected credit losses.

4.6 Borrowing costs

Borrowing costs that are directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalized as part of the cost of the respective assets. All other borrowing costs are expensed out in the year they occur.

4.7 Research and development costs

Research and development costs are charged to profit or loss as and when incurred.

4.8 Finance income and finance costs

Finance income comprises interest income on funds invested (financial assets), dividend income, gain on disposal of financial assets, commission income and changes in fair value of investments. Interest income is recognized as it accrues in profit or loss, using effective interest method.

Finance costs comprise interest expense on borrowings, changes in fair value of investment carried at fair value through profit or loss and impairment losses recognized on financial assets. Borrowing costs that are not directly attributable to the acquisition, construction or production of a qualifying asset are recognized in profit or loss using effective interest method.

Foreign currency gains and losses are reported on a net basis.

4.9 Dividend income

Dividend income is recognized in profit or loss on the date that the Company's right to receive payment is established.

4.10 Basis of allocation of common expenses

Prior to merger/ amalgamation of Fauji Fertilizer Bin Qasim Limited (FFBL) with and into the Company as detailed in note 1.2, distribution cost was allocated to FFBL, in proportion to the sales volume handled on its behalf under the Inter Company Services Agreement. During the year, the Company has entered into an agreement with Agritech Limited (AGL) and has allocated certain expenses to AGL.

4.11 Earnings per share

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the year. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding, adjusted for the effects of all dilutive potential ordinary shares.

4.12 New and amended standards and interpretations

4.12.1 There are certain amendments to the accounting and reporting standards which became applicable to the Company on January 1, 2025. However, these amendments do not have any significant impact on the Company's financial statements.

4.12.2 The following standards, interpretations and amendments as notified under Companies Act, 2017 are effective for accounting periods beginning from the dates specified below and have not been early adopted by the Company:

- Amendments to IAS 21 — 'Translation to a Hyperinflationary Presentation Currency' (effective for annual reporting periods beginning on or after January 1, 2027). These amendments clarify how companies should translate financial statements from a non–hyperinflationary currency into a hyperinflationary one.

- Amendment to IFRS 7 — 'Financial Instruments: Disclosures' and IFRS 9 — 'Financial Instruments – Classification and Measurement of Financial Instruments' (effective for annual reporting periods beginning on or after January 1, 2026). These amendments clarify the requirements for the timing of recognition and derecognition of some financial assets and liabilities, with a new exception for some financial liabilities settled through an electronic cash transfer system; clarify and add further guidance for assessing whether a financial asset meets the SPPI criterion; add new disclosures for certain instruments with contractual terms that can change cash flows; and make updates to the disclosures for equity instruments designated at FVOCI.

- Amendment to IFRS 7 — 'Financial Instruments: Disclosures' and IFRS 9 — 'Financial Instruments – Contracts Referencing Nature–dependent Electricity' (effective for annual reporting periods beginning on or after January 1, 2026). These amendments change the 'own use' and hedge accounting requirements of IFRS 9 and include targeted disclosure requirements to IFRS 7.

- IFRS 17 — 'Insurance Contracts' establishes the principles for the recognition, measurement, presentation and disclosure of Insurance contracts within the scope of the Standard. The objective of IFRS 17 is to ensure that an entity provides relevant information that faithfully represents those insurance contracts. SECP vide its SRO 1715(I)/2023 dated November 21, 2023 has directed that IFRS 17 shall be followed for the period commencing January 1, 2026 by companies engaged in insurance / takaful and re–insurance / re–takaful business. This standard is not likely to have any impact on the Company's financial statements.

- IFRS 18 — 'Presentation and Disclosure in Financial Statements' (effective for annual reporting periods beginning on or after January 1, 2027). The objective of IFRS 18 is to set out requirements for the presentation and disclosure of information in general purpose financial statements to help ensure they provide relevant information that faithfully represents an entity's assets, liabilities, equity, income and expenses.

- IFRS 19 — 'Subsidiaries without Public Accountability: Disclosures' and Amendments to IFRS 19 (effective for annual reporting periods beginning on or after January 1, 2027). The objective of IFRS 19 is to specify the disclosure requirements an entity is permitted to apply instead of the disclosure requirements in other IFRS Accounting Standards. Further, the amendments cover new or amended IFRS Accounting Standards issued between February 28, 2021 and May 1, 2024 that were not considered when IFRS 19 was first issued.

- In July 2024, the IASB issued 'Annual improvements to IFRS – Volume 11' (Amendments to IFRS 1, IFRS 7, IFRS 9, IFRS 10 and IAS 7). The amendments are effective for annual reporting periods beginning on or after January 1, 2026 with early adoption available.

- Disclosures about Uncertainties in the Financial Statements (Illustrative Examples). Illustrative examples are not an integral part of standards and, therefore, do not have an effective date.

The management anticipates that the adoption of the above standards, amendments and interpretations in future periods, will have no material impact on the financial statements of the Company other than in presentation and disclosures.

4.12.3 Other than the aforementioned standards, interpretations and amendments, IASB has also issued the following standards and interpretations, which have not been notified locally or declared exempt by SECP as at December 31, 2025:

IFRS 1 (First Time Adoption of International Financial Reporting Standards)

IFRIC 12 (Service Concession Arrangements)

5. SHARE CAPITAL

Authorised share capital

This represents 3,000,000,000 (2024: 3,000,000,000) ordinary shares of Rs 10 each amounting to Rs 30,000,000 thousand (2024: Rs 30,000,000 thousand).

Issued, subscribed and paid up share capital

	2025	2024	2025	2024
	Numbers	Numbers	Rs '000	Rs '000
Fully paid in cash	256,495,902	256,495,902	2,564,959	2,564,959
Fully paid bonus shares	1,015,742,345	1,015,742,345	10,157,423	10,157,423
Shares issued pursuant to merger of FFBL with and into the Company – note 1.2	150,870,449	150,870,449	1,508,704	1,508,704
	1,423,108,696	1,423,108,696	14,231,086	14,231,086

5.1 Fauji Foundation (FF) holds 43.70% (2024: 43.51%) ordinary shares of the Company at the year end. During the year, FF has further acquired 2,609 thousand shares of the Company, which resulted in increase in its shareholding by 0.19%. Also refer note 16.11.

5.2 All ordinary shares rank equally with regard to the Company's residual assets. Holders of the shares are entitled to dividends from time to time and are entitled to one vote per share at the general meetings of the Company.

5.3 Capital management

The Board's policy is to maintain a strong capital base so as to maintain investor, creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital, which the Company defines as net profit after taxation divided by total shareholders' equity. The Board of Directors also monitors the level of dividend to ordinary shareholders. There were no changes to the Company's approach to capital management during the year and the Company is not subject to externally imposed capital requirements. The Company is required to comply with certain debt covenants related to long / short term borrowings.

		Note	2025	2024
			Rs '000	Rs '000
6.	**CAPITAL RESERVES**			
	Share premium	6.1	40,000	40,000
	Capital redemption reserve	6.2	120,000	120,000
	Merger reserve	6.3	27,840,080	27,840,080
			28,000,080	28,000,080

6.1 Share premium

This represents premium of Rs 5 per share received on public issue of 8,000,000 ordinary shares of Rs 10 each in 1991.

6.2 Capital redemption reserve

This represents reserve set up on redemption of preference shares of Rs 120,000 thousand in 1996.

6.3 Merger reserve

This represents the difference between the consideration transferred to the shareholders of FFBL (other than the Company) and the carrying amounts of assets acquired and liabilities assumed as of the effective date of merger/ amalgamation of FFBL with and into the Company.

		Note	2025	2024
			Rs '000	Rs '000
7.	**LONG TERM BORROWINGS – SECURED**			
	Borrowings from banking companies	7.1		
	Conventional borrowings			
	The Bank of Punjab (BOP–1)		–	350,000
	Allied Bank Limited (ABL–1)		–	500,000
	Allied Bank Limited (ABL–2)		500,000	1,000,000
	Allied Bank Limited (ABL–3)		300,000	600,000
	Allied Bank Limited (ABL–4)		1,500,000	2,250,000
	Allied Bank Limited (ABL–5)		2,250,000	3,000,000
	Allied Bank Limited (ABL–6)		5,000,000	5,000,000
	Bank Al–Habib Limited (BAH–1)		2,000,000	2,000,000
			11,550,000	14,700,000
	Mark–up accrued on conventional borrowings	11	76,405	151,713
			11,626,405	14,851,713
	Islamic borrowings			
	Meezan Bank Limited (MBL–1)		500,000	1,000,000
	Meezan Bank Limited (MBL–2)		750,000	1,500,000
	Meezan Bank Limited (MBL–3)		750,000	1,500,000
	Meezan Bank Limited (MBL–4)		1,000,000	1,500,000
	Meezan Bank Limited (MBL–5)		3,750,000	5,000,000
	Meezan Bank Limited (MBL–6)		8,000,000	8,000,000
	Meezan Bank Limited (MBL–7)		13,500,000	–
	MCB Islamic Bank Limited (MCBIL–1)		3,000,000	3,000,000
	MCB Islamic Bank Limited (MCBIL–2)		1,000,000	–
	Dubai Islamic Bank Limited (DIB–1)		2,000,000	2,000,000
	Habib Bank Limited (HBL–1)		2,500,000	–
	Bank Alfalah Limited (BAF–1)		2,000,000	–
	Faysal Bank Limited (FBL–1)		5,000,000	–
	Allied Bank Limited (ABL–7)		5,000,000	–
	Bank Al–Habib Limited (BAH–2)		1,000,000	–
			49,750,000	23,500,000
	Profit accrued on Islamic borrowings	11	429,705	565,959
			50,179,705	24,065,959
	Less: Current portion shown under current liabilities			
	Conventional borrowings		4,050,000	3,150,000
	Islamic borrowings		7,000,000	3,750,000
			11,050,000	6,900,000
	Less: Mark–up and profit accrued on long term borrowings		506,110	717,672
			50,250,000	31,300,000

7.1 Terms and conditions of these borrowings are as follows:

Lenders	Mark-up / profit rate p.a. (%)	No. of installments outstanding	Date of final repayment
Conventional borrowings			
BOP–1	6 months KIBOR+0.10	Nil	Paid on August 29, 2025
ABL–1	6 months KIBOR+0.08	Nil	Paid on December 30, 2025
ABL–2	6 months KIBOR+0.08	2 half yearly	September 20, 2026
ABL–3	6 months KIBOR+0.08	2 half yearly	September 30, 2026
ABL–4	6 months KIBOR+0.05	4 half yearly	December 27, 2027
ABL–5	6 months KIBOR+0.03	6 half yearly	December 19, 2028
ABL–6	6 months KIBOR–0.50	8 half yearly	December 13, 2029
BAH–1	6 months KIBOR–0.50	8 half yearly	December 10, 2029
Islamic borrowings			
MBL–1	6 months KIBOR+0.10	2 half yearly	September 29, 2026
MBL–2	6 months KIBOR+0.10	2 half yearly	July 5, 2026
MBL–3	6 months KIBOR+0.10	2 half yearly	September 29, 2026
MBL–4	6 months KIBOR+0.00	4 half yearly	September 30, 2027
MBL–5	6 months KIBOR+0.01	6 half yearly	November 16, 2028
MBL–6	6 months KIBOR–0.15	8 half yearly	October 30, 2029
MBL–7	6 months KIBOR–0.10	8 half yearly	December 30, 2030
MCBIL–1	6 months KIBOR–0.50	8 half yearly	November 29, 2029
MCBIL–2	6 months KIBOR–0.10	8 half yearly	December 23, 2030
DIB–1	6 months KIBOR–0.25	8 half yearly	December 30, 2029
HBL–1	6 months KIBOR–0.10	8 half yearly	December 24, 2030
BAF–1	6 months KIBOR–0.10	8 half yearly	December 24, 2030
FBL–1	6 months KIBOR–0.10	8 half yearly	December 26, 2030
ABL–7	6 months KIBOR–0.10	8 half yearly	December 23, 2030
BAH–2	6 months KIBOR–0.10	8 half yearly	December 29, 2030

7.1.1 These borrowings are secured by a first pari passu charge over all present and future assets of the Company (excluding land and building) with 25% margin.

		Note	2025	2024
			Rs '000	Rs '000
8	**DEFERRED TAXATION**			
	The balance of deferred tax is in respect of the following temporary differences:			
	Accelerated depreciation / amortisation		9,932,212	8,015,054
	Provision for slow moving spares, loss allowance, and investments etc.		(3,488,872)	(2,756,447)
	Re–measurement of investments		1,468,427	2,193,423
			7,911,767	7,452,030
	The gross movement in the deferred tax liability during the year is as follows:			
	Balance at the beginning		7,452,030	2,275,925
	Acquisition pursuant to merger of FFBL	1.2	–	1,683,355
	Tax charge recognized in profit or loss		487,411	3,364,140
	Tax charge recognised in other comprehensive income		(27,674)	128,610
	Balance at the end		7,911,767	7,452,030

9 COMPENSATED LEAVE ABSENCES

9.1 The main assumptions used for actuarial valuation are as follows:

	Scheme - I	Scheme - II	Scheme - I	Scheme - II
	2025		2024	
Discount rate – per annum	11.00%	11.00%	12.25%	12.25%
Expected rate of increase in salaries				
Management	12.00%	11.75%	13.25%	13.00%
Non–Management	13.00%	11.75%	14.25%	13.00%
Mortality table	SLIC (2001–05)		SLIC (2001–05)	
Withdrawal factor	Light	Moderate	Light	Moderate
Number of employees	2,574	569	2,654	868

		Note	2025	2024
			Rs '000	Rs '000
10.	**TRADE AND OTHER PAYABLES**			
	Creditors			
	– GIDC payable	10.1	84,977,267	84,977,267
	– Others	10.2	12,481,171	18,012,691
			97,458,438	102,989,958
	Accrued liabilities		38,473,926	33,207,435
	Consignment account of Agritech Limited (related party) – unsecured		1,250,126	–
	Deposits	10.3	370,309	285,040
	Retention money		488,712	337,193
	Workers' Welfare Fund		4,265,530	4,641,900
	Workers' Profit Participation Fund	10.4	506,582	–
	Federal excise duty payable		–	51,524
	Payable to Joint Operators – PEF project		1,393,750	–
	Payable to gratuity fund – I (related party)	24.5	–	504,575
	Payable to provident fund (related party)		240	22
	Payable to Fauji Foundation (related party)		537,059	835,271
	Payable to FFBL Power Company Limited (related party)		1,547,737	2,298,127
	Payable to Pakistan Maroc Phosphore S.A. (related party)		26,356,550	22,278,496
	Payable to Foundation Wind Energy Limited I (related party)		20,941	43,240
	Contract liabilities – advances from customers	10.5	17,002,369	12,818,489
	Provision for final tax levies		2,713,947	2,711,888
	Other liabilities		1,666,851	3,048,840
			194,053,067	186,051,998
10.1	**Gas Infrastructure Development Cess (GIDC) payable**			
	Balance at the beginning		84,977,267	62,437,223
	Acquisition pursuant to merger of FFBL	1.2	–	22,327,638
	Unwinding of GIDC liability – charge to profit or loss		–	212,406
		10.1.1	84,977,267	84,977,267

10.1.1 This represents amount payable on account of Gas Infrastructure Development Cess (GIDC) under Gas Infrastructure Development Cess Act, 2015 (GIDC Act) up to July 31, 2020. The Company along with other industrial gas consumers had previously challenged the GIDC Act on constitutional grounds. The Honorable Supreme Court of Pakistan (SCP) in its judgment dated August 13, 2020 declared GIDC Act a valid legislation. As per the latest orders from Government of Pakistan (GoP), this cess is recoverable in 48 equal monthly installments, instead of 24 equal monthly installments. The Company also filed a suit with the Sindh High Court (SHC) in September 2020 against collection of GIDC, and SHC granted a stay against recovery of GIDC from the Company, till the finalisation of matter by SHC. The matter pending in Sindh High Court, has now been transferred to Civil Judge, Karachi.

During the year, no payments were made by the Company on account of GIDC due to the stay granted by SHC. Further, the Company has also contested and not accounted for late payment surcharge in these financial statements, on GIDC payments against recovery stay granted by SHC.

10.2 This includes sales tax on GIDC payable to Mari Petroleum Company Limited and Sui Southern Gas Company Limited amounting to Rs 2,474,978 thousand (2024: Rs 2,474,978 thousand) and Rs 2,308,324 thousand (2024: Rs 2,308,324 thousand), respectively.

10.3 These represent unutilizable amounts received as security deposits from dealers and suppliers of the Company, and are kept in separate bank accounts.

10.4 This represents a net balance relating to WPPF receivable pertaining to FFC and WPPF payable pertaining to ex–FFBL amounting to Rs 538,104 thousand and Rs 1,044,686 thousand, respectively.

		Note	2025	2024
			Rs '000	Rs '000
10.5	**Contract liabilities – advances from customers**			
	Balance at beginning		12,818,489	9,828,891
	Acquisition pursuant to merger of FFBL	1.2	–	4,155,947
	Revenue recognised during the year		(427,600,053)	(396,242,811)
	Advance received during the year		431,783,933	395,076,462
	Balance at end	10.5.1	17,002,369	12,818,489

10.5.1 This represents payment received by the Company from its customers before the related goods are transferred. Advances from customer are recognised as revenue when the performance obligation in accordance with the policy as described in note 3.12 and note 4.4 to these financial statements is satisfied. Revenue for an amount of Rs 12,520,748 thousand (2024: Rs 9,389,599 thousand) has been recognised in current year in respect of advances from customers at the beginning of year.

		2025	2024
		Rs '000	Rs '000
11.	**MARK–UP AND PROFIT ACCRUED**		
	On long term borrowings		
	Conventional borrowings	76,405	151,713
	Islamic borrowings	429,705	565,959
		506,110	717,672
	On short term borrowings		
	Conventional borrowings	213,581	113,220
	Islamic borrowings	220,584	92,514
		434,165	205,734
		940,275	923,406

12. SHORT TERM BORROWINGS – SECURED

The Company has obtained short–term running finance facilities from various banks, under separate terms and agreements. The total amounts outstanding against each facility at the year end and the terms of each facility are given below:

	Note	2025	2024
		Rs '000	Rs '000
Lending Institutions			
Conventional borrowings	12.1		
National Bank of Pakistan		22,653	2,044,793
Bank Al–Habib Limited		8,843	24,052
United Bank Limited		64,872	1,061,488
Askari Bank Limited (related party)		7,969,117	17,954,517
Allied Bank Limited		–	1,416
Bank Alfalah Limited		62,965	–
Habib Bank Limited		–	2,159,653
The Bank of Punjab		65,207	530,769
MCB Bank Limited		–	1,478,549
Samba Bank Limited		–	964
Soneri Bank Limited		309,069	760,962
Habib Metropolitan Bank Limited		1,134,758	1,515,574
		9,637,484	27,532,737
Mark–up accrued on conventional borrowings	11	213,581	113,220
		9,851,065	27,645,957
Islamic borrowings	12.2		
Meezan Bank Limited		6,598,427	2,204,367
Dubai Islamic Bank Limited		699,829	–
BankIslami Pakistan Limited		–	1,500,000
Faysal Bank Limited		1,658,907	41,804
		8,957,163	3,746,171
Profit accrued on Islamic borrowings	11	220,584	92,514
		9,177,747	3,838,685
Less : Mark–up and profit accrued on short term borrowings		434,165	205,734
		18,594,647	31,278,908

12.1 Short term borrowings are available from various banking companies under mark–up arrangements against facilities amounting to Rs 36,014,037 thousand (2024: Rs 58,177,000 thousand) which represent the aggregate of all facility agreements between the Company and respective banks. The facilities have various maturity dates upto July 31, 2026 (2024: July 31, 2025). The per annum rates of mark–up are 1 month KIBOR plus 0.05% to 0.25% and 3 month KIBOR plus 0% to 0.25% (2024: 1 month KIBOR plus 0.05% to 0.5% and 3 month KIBOR minus 2% to plus 0.45%).

The facilities are secured by pari passu / ranking hypothecation charges on all present and future assets (excluding land and building) of the Company with 25% margin besides lien over mutual funds in certain cases.

12.2 Shariah compliant short term borrowings are available from various banking companies under profit arrangements against facilities amounting to Rs 9,700,000 thousand (2024: Rs 16,200,000 thousand) which represent the aggregate of all facility agreements between the Company and respective banks. The facilities have various maturity dates upto September 30, 2026 (2024: June 30, 2025). The per annum rate of profit is 3 month KIBOR minus 0.0% to 0.15% (2024: 3 month KIBOR minus 3.70% to plus 0.2%).

The facilities are secured by ranking hypothecation charges on all present and future assets of the Company with 25% margin besides lien over PIBs in certain cases.

		2025	2024
		Rs '000	Rs '000
13.	**CONTINGENCIES AND COMMITMENTS**		
13.1	**Contingencies:**		
i)	Guarantees issued by banks on behalf of the Company	11,378,768	13,365,563
ii)	Claims against the Company and / or potential exposure not acknowledged as debt	50,696	50,696

iii) The Company has issued corporate bank guarantee and letters of comfort in favour of its subsidiary company i.e. Fauji Fresh n Freeze Limited amounting to Rs 1,960,366 thousand (2024: Rs 4,077,552 thousand).

iv) Penalty of Rs 5,500,000 thousand (December 31, 2024: Rs 5,500,000 thousand) imposed by the Competition Commission of Pakistan (CCP) in 2013, for alleged unreasonable increase in urea prices, which was set aside by the Competition Appellate Tribunal, in appeal filed by the Company, who also remanded the case back to CCP to decide the case afresh under guidelines provided by the Tribunal. CCP did not challenge this order before the Supreme Court of Pakistan in appeal within the stipulated time, thus making the appeal time barred. However, in prior years, CCP under the said Tribunal guidelines resumed the proceedings and the Company duly joined these proceedings through counsel. The Company filed writ petition before Islamabad High Court which was disposed of, directing CCP to proceed with regular hearings. CCP is yet to initiate its proceedings and the Company is awaiting hearing notice. The Company remains confident of successfully defending these unreasonable claims.

v) The Company has provided financial guarantees, obtained from commercial banks, in the name of Excise and Taxation Department, Government of Sindh, with an aggregate amount of Rs 9,724 million (2024: Rs 7,262 million), representing unpaid levy due under the Sindh Development and Maintenance of Infrastructure Cess Act, 2017 (Sindh Cess Act); deposited pursuant to instructions of the Honorable Sindh High Court (SHC) under a petition filed by the Company (along with various other importers of goods) challenging the constitutionality of the power exercised by the provincial legislature to levy the Cess. The Company was also depositing the 50% levy, in cash, on monthly basis since June 2011. On June 4, 2021, SHC has upheld the Sindh Cess Act as valid legislation, retrospectively with effect from July, 1, 1994. On the advice of its legal counsel, the Company filed an appeal against the decision, with the Honorable Supreme Court of Pakistan (SCP) and obtained stay order from the SCP against the decision, on September 1, 2021.

As a matter of prudence, the Company is recognizing the provision at the time of the activity that triggers the payment of the levy in accordance with the Sindh Cess Act; amounting to Rs 9,724 million as of December 31, 2025. During the year, the Company has recognized the levy amounting to Rs 2,462 million fully covered by bank guarantee.

vi) The Company was liable to repay loans originally obtained from Export Credit Agencies (ECA), amounting to Rs. 9,723 million to the Government of Pakistan (GoP), in 15 annual equal installments, with a 1–year grace period, at zero percent, effective November 30, 2001. As per the restructuring agreement, the final installment was paid in June 2017.

These loans from ECA, which were assumed by the GoP, were initially secured with a guarantee issued by Habib Bank Limited (HBL) on behalf of a local syndicate of banks and financial institutions. The guarantee was secured by a first equitable mortgage created on all immovable properties of the Company, and by way of hypothecation of movable properties of the Company. The charge ranked pari passu with the charges to be created in favor of other foreign and local lenders. The local syndicate had requested the Company to obtain an indemnity from the GoP confirming that it is GoP's absolute obligation to indemnify and keep related banks and financial institutions harmless from any possible exposure on this account. Accordingly, on December 16, 2002, the GoP had conveyed its agreement by assuming the ECA loan liabilities by absolving related banks and financial institutions of their liabilities, for which they earlier issued guarantees to the ECA. As a result, three ECAs have released the guarantee of HBL and have returned the original documents.

Since one ECA is yet to release HBL from its responsibility as guarantor, therefore the charge related to the portion of the said guarantee on the assets of the Company, has not been vacated up to December 31, 2025. The Company is making efforts in getting this guarantee released.

		2025	2024
		Rs '000	Rs '000
13.2	**Commitments in respect of:**		
i)	Capital expenditure commitments (including share of commitments amounting to Rs 16,439,474 thousand (2024: Rs 14,236,243 thousand) relating to PEF joint operations as disclosed in note 43.	34,619,877	23,945,484
ii)	Purchase of fertilizer, stores, spares and other operational items	18,502,685	26,760,469
iii)	Investment in Thar Energy Limited	89,776	89,232
iv)	Contracted out services	625,737	507,895
v)	Revolving credit facilities to:		
–	Foundation Wind Energy – I Limited	1,500,000	1,500,000
–	FFC Energy Limited	1,700,000	1,700,000
–	Fauji Fresh N Freeze Limited	2,295,000	1,750,000

14. PROPERTY, PLANT AND EQUIPMENT

	Freehold land	Lease hold land	Building and structures on freehold land	Building and structures on leasehold land	Railway siding	Plant and machinery	Catalysts	Office and electrical equipment	Furniture and fixtures	Vehicles	Maintenance and other equipment	Library books	Right of use asset	Capital work in progress (note 14.4)	Total
								Rs '000							
As at January 1, 2024															
Cost	905,803	209,959	6,089,014	2,008,937	26,517	51,622,623	2,892,364	1,842,720	812,735	1,030,677	3,484,868	28,516	150,156	11,422,748	82,527,637
Accumulated depreciation	–	(182,176)	(3,729,172)	(1,100,243)	(26,517)	(29,198,652)	(2,538,400)	(1,253,700)	(434,337)	(777,161)	(2,891,587)	(28,368)	(144,153)	–	(42,304,466)
Net Book Value	905,803	27,783	2,359,842	908,694	–	22,423,971	353,964	589,020	378,398	253,516	593,281	148	6,003	11,422,748	40,223,171
Year ended December 31, 2024															
Opening net book value	905,803	27,783	2,359,842	908,694	–	22,423,971	353,964	589,020	378,398	253,516	593,281	148	6,003	11,422,748	40,223,171
Acquisition pursuant to merger of FFBL– note 1.2															
Cost	120,000	200,095	1,047,884	2,730,436	–	29,173,917	670,716	1,031,859	124,233	573,329	573,064	2,406	–	171,113	36,419,052
Depreciation	–	(109,816)	(246,277)	(1,395,782)	–	(23,006,308)	(572,661)	(783,178)	(97,432)	(296,389)	(452,395)	(2,406)	–	–	(26,962,644)
	120,000	90,279	801,607	1,334,654	–	6,167,609	98,055	248,681	26,801	276,940	120,669	–	–	171,113	9,456,408
Additions	–	–	426,940	58,923	–	6,155,144	677,133	306,641	155,905	367,577	1,456,075	–	–	6,130,587	15,734,925
Disposals															
Cost	–	–	(463)	–	–	(73,629)	(381,452)	(52,648)	(8,478)	(79,639)	(31,686)	–	–	–	(627,995)
Depreciation	–	–	44	–	–	72,597	381,452	52,454	8,472	70,079	31,285	–	–	–	616,383
	–	–	(419)	–	–	(1,032)	–	(194)	(6)	(9,560)	(401)	–	–	–	(11,612)
Transfers	–	–	–	–	–	–	–	–	–	–	–	–	–	(3,600,575)	(3,600,575)
Depreciation charge	–	(3,555)	(252,685)	(139,464)	–	(2,137,921)	(232,979)	(186,012)	(64,820)	(175,108)	(392,904)	(137)	(6,003)	–	(3,591,588)
Balance as at December 31, 2024	1,025,803	114,507	3,335,285	2,162,807	–	32,607,771	896,173	958,136	496,278	713,365	1,776,720	11	–	14,123,873	58,210,729
As at January 1, 2025															
Cost	1,025,803	410,054	7,563,375	4,798,296	26,517	86,878,055	3,858,761	3,128,572	1,084,395	1,891,944	5,482,321	30,922	150,156	14,123,873	130,453,044
Accumulated depreciation	–	(295,547)	(4,228,090)	(2,635,489)	(26,517)	(54,270,284)	(2,962,588)	(2,170,436)	(588,117)	(1,178,579)	(3,705,601)	(30,911)	(150,156)	–	(72,242,315)
Net Book Value	1,025,803	114,507	3,335,285	2,162,807	–	32,607,771	896,173	958,136	496,278	713,365	1,776,720	11	–	14,123,873	58,210,729
Year ended December 31, 2025															
Opening net book value	1,025,803	114,507	3,335,285	2,162,807	–	32,607,771	896,173	958,136	496,278	713,365	1,776,720	11	–	14,123,873	58,210,729
Additions	–	–	5,375,518	5,378	–	9,283,482	2,173,383	1,209,669	354,132	365,668	584,197	374	–	10,249,541	29,601,342
Disposals	–														
Cost	–	–	(5,549)	–	–	–	–	(39,104)	(25,171)	(126,667)	(16,585)	–	–	–	(213,076)
Depreciation	–	–	4,460	–	–	–	–	38,792	25,171	99,925	16,214	–	–	–	184,562
	–	–	(1,089)	–	–	–	–	(312)	–	(26,742)	(371)	–	–	–	(28,514)
Transfers	–	–	–	–	–	–	–	–	–	–	–	–	–	(6,045,615)	(6,045,615)
Depreciation charge	–	(5,160)	(317,879)	(182,058)	–	(2,832,394)	(523,327)	(261,137)	(85,511)	(251,128)	(729,139)	(34)	–	–	(5,187,767)
Balance as at December 31, 2025	1,025,803	109,347	8,391,835	1,986,127	–	39,058,859	2,546,229	1,906,356	764,899	801,163	1,631,407	351	–	18,327,799	76,550,175
As at December 31, 2025															
Cost	1,025,803	410,054	12,933,344	4,803,674	26,517	96,161,537	6,032,144	4,299,137	1,413,356	2,130,945	6,049,933	31,296	150,156	18,327,799	153,795,695
Accumulated depreciation	–	(300,707)	(4,541,509)	(2,817,547)	(26,517)	(57,102,678)	(3,485,915)	(2,392,781)	(648,457)	(1,329,782)	(4,418,526)	(30,945)	(150,156)	–	(77,245,520)
Net Book Value	1,025,803	109,347	8,391,835	1,986,127	–	39,058,859	2,546,229	1,906,356	764,899	801,163	1,631,407	351	–	18,327,799	76,550,175
Rate of depreciation in %	–	6.25 to 9.25	5 to 10	5	5	5	20	15	10	20	15 to 33.33	30	20	–	

		Note	2025	2024
			Rs '000	Rs '000
14.1	**Depreciation charge has been allocated as follows:**			
	Cost of sales	28	4,936,867	3,451,191
	Distribution cost	29	247,591	130,582
	Other expenses		3,309	2,167
	Charged to FFBL under Inter Company Services Agreement prior to merger/ amalgamation of FFBL with and into the Company		–	7,648
			5,187,767	3,591,588

14.2 Details of assets disposed off having net–book value in excess of Rs 500,000:

	Sold to		Cost	Book Value	Sale Proceeds	Gain
			Rs '000	Rs '000	Rs '000	Rs '000
	Vehicles – as per company policy to employees					
	Suzuki Cultus	Rafay Saeed	4,300	3,674	3,794	120
	Toyota Yaris	Aatif Nadeer	5,113	3,084	3,270	186
	Toyota Yaris	Zahid Ahmed	4,579	3,025	3,365	340
	Suzuki Cultus	Omair Zakariya	4,141	2,998	3,281	283
	Toyota Yaris	Zulfiqar Ali	4,579	2,763	3,463	700
	Kia Picanto	Furqan Ahmed	3,671	2,332	2,840	508
	Hyundai Elantra	Ahmed Attyub	3,694	1,742	2,304	562
	Suzuki Alto	Ghulam Abbas	1,487	1,244	1,253	9
	Toyota Yaris	Khurram Raza	3,060	995	1,145	150
	Suzuki Alto	Wali Muhammad Khan	1,492	985	916	(69)
			36,116	22,842	25,631	2,789

14.3 Details of immovable property (land and building) in the name of the Company:

Location	Usage	Area
Sona Tower, 156 – The Mall, Rawalpindi Cantt, Punjab	Head office building	16 kanals and 7.5 marlas
C1/C2, Sector B, Jinnah Boulevard DHA Phase II, Islamabad	Islamabad office building	2 acres
Plot no 1 – H, Gulberg – II, Lahore	Marketing office building	3 kanals, 14 marlas and 160.63 sqft
Goth Machhi, Sadiqabad (District: Rahim Yar Khan), Punjab	Manufacturing plant including allied facilities	1,285 acres, 5 kanals and 7 marlas
Mirpur Mathelo (District: Ghotki), Sindh	Manufacturing plant including allied facilities	575 acres, 4 kanals and 16 marlas
Plot No. EZ/I/P–1 Eastern Zone, Port Qasim, Karachi	Manufacturing plant including allied facilities	250 acres

Location	Usage	Area
Plot No. OZ/I/P–53, South Western Zone, Port Qasim, Karachi	Tank farm area	8 acres
Near Rangers Check Post, Opposite Naval Marine Base, National Highway	Manufacturing plant including allied facilities	202.2 acres
FFC Warehouse, G T Road Adda Yousafwala, (District: Sahiwal), Punjab	Warehouse	3 acres, 2 kanals and 11 marlas
FFC Warehouse Opposite Chiniot Railway Station Bypass Road Chiniot (District Chiniot), Punjab	Warehouse	5 acres, 2 kanals and 3 marlas
FFC Warehouse Main Highway Road Dhabeji (District: Thatta), Sindh	Warehouse	16 marlas and 136 sqft
18 Khaira Gali (District: Abbottabad), Khyber Pakhtunkhwa	Guesthouse	1 kanal and 3 marlas

		2025	2024
		Rs '000	Rs '000
14.4	**Capital work in progress**		
	Civil works	2,117,777	5,675,836
	Plant and machinery (including–in–transit items)	16,210,022	8,448,037
		18,327,799	14,123,873

14.5 The Capital work in progress balance mainly relates to production related enhancement projects and boiler upgrade activities. Further, capital work in progress include Rs 7,609,441 thousand (2024: Rs 2,400,058 thousand) being Company's share in Joint operation related to Gas Pressure Enhancement Facility (PEF), as disclosed in note 43 to the financial statements.

		Note	2025	2024
			Rs '000	Rs '000
15.	**INTANGIBLE ASSETS**			
	Computer software	15.1	22,144	2,417
	Goodwill	15.2	1,569,234	1,569,234
			1,591,378	1,571,651
15.1	**Computer software**			
	Balance at the beginning		2,417	2,674
	Additions during the year		23,562	1,821
	Amortisation charge for the year		(3,835)	(2,078)
	Balance at the end		22,144	2,417
	Amortisation rate		33 1/3%	33 1/3%
	Amortisation charge has been allocated as follows:			
	Cost of sales	28	3,324	1,497
	Distribution cost	29	511	581
			3,835	2,078

15.2 Goodwill

This represents excess of the amount paid over fair value of net assets of Pak Saudi Fertilizer Company Limited (PSFL) on its acquisition. The recoverable amount of goodwill was tested for impairment by allocating the amount of goodwill to respective assets on which it arose, based on value in use in accordance with IAS–36 "Impairment of Assets". The value in use calculations are based on cash flow projections. These are then extrapolated for a period of 5 years using a steady long term expected demand growth of 2% and terminal value determined based on long term earning multiples. The cash flows are discounted using a discount rate of 14.14%. Based on this calculation no impairment is required to be accounted for against the carrying amount of goodwill.

		Note	2025	2024
			Rs '000	Rs '000
16.	**LONG TERM INVESTMENTS**			
	Investments held at cost			
	In associates (Quoted)			
	Fauji Cement Company Limited (FCCL)	16.1	1,500,000	1,500,000
	Askari Bank Limited (AKBL)	16.2	15,692,912	15,692,912
	Agritech Limited (AGL):	16.3		
	Investment at cost		7,307,542	4,855,105
	Advance against issue of shares		–	69,644
			7,307,542	4,924,749
			24,500,454	22,117,661
	In associate (Unquoted)			
	Thar Energy Limited (TEL)	16.4	5,986,908	5,986,908
	In joint venture (Unquoted)			
	Pakistan Maroc Phosphore S.A., Morocco (PMP)	16.5	2,117,075	2,117,075
	In subsidiary company (Quoted)			
	Fauji Foods Limited (FFL)			
	Investment at cost	16.6	14,055,516	14,055,516
	Less: Impairment loss		(1,999,000)	(1,999,000)
			12,056,516	12,056,516
	In subsidiary companies (Unquoted)			
	FFC Energy Limited (FFCEL)	16.7	2,438,250	2,438,250
	Foundation Wind Energy– I Limited (FWEL–I)	16.8	7,493,051	7,493,051
	Foundation Wind Energy– II Limited (FWEL–II)	16.9	6,019,288	6,019,288
	OLIVE Technical Services (Private) Limited (OLIVE)	16.10	100,000	100,000
	FFBL Power Company Limited (FPCL)	16.11	6,440,625	6,440,625
	Fauji Fresh n Freeze Limited (FFF)			
	Investment at cost	16.12	11,335,500	11,335,500
	Less: Impairment loss	16.12.1	(6,100,000)	(6,100,000)
			5,235,500	5,235,500
			27,726,714	27,726,714

	Note	2025	2024
		Rs '000	Rs '000
Other long term investments		–	–
Arabian Sea Country Club Limited	16.13	72,387,667	70,004,874
Investments – fair value through profit or loss (FVTPL)	16.14		
Investment in listed preference shares		–	1,715,978
Investment in un–listed preference shares		5,917,440	3,299,093
Advance against issue of privately placed term finance certificates (PPTFCs)		–	1,020,171
		5,917,440	6,035,242
Investments – fair value through other comprehensive income (FVTOCI)	16.15		
Bank Alfalah Term Finance Certificates		300,000	300,000
Pakistan Investment Bonds		465,178	2,714,385
		765,178	3,014,385
		79,070,285	79,054,501
Less: Current portion shown under – Short term investments – fair value through other comprehensive income (FVTOCI)			
Pakistan Investment Bonds	25	–	2,274,203
		79,070,285	76,780,298

16.1 Investment in FCCL – at cost

Investment in FCCL represents 105,469 thousand (2024: 105,469 thousand) fully paid ordinary shares of Rs 10 each representing 4.29% (2024: 4.29%) of share capital of FCCL as at December 31, 2025. Market value of the Company's investment as at December 31, 2025 was Rs 5,900,991 thousand (2024: Rs 3,858,056 thousand). FCCL is an associate due to representation on the Board of Directors.

16.2 Investment in AKBL – at cost

Investment in AKBL represents 938,000 thousand (2024: 938,000 thousand) fully paid ordinary shares of Rs 10 each representing 64.72% (2024: 64.72%) of AKBL's share capital. Market value of the Company's investment as at December 31, 2025 was Rs 94,325,280 thousand (2024: Rs 35,897,254 thousand).

Pursuant to an agreement dated October 16, 2014, and amendment agreement dated December 16, 2024, Fauji Foundation (FF) controls the composition of the Board of Directors of AKBL and exercises and controls the voting securities of the Company in AKBL.

At year end, 938,000 thousand (2024: 938,000 thousand) shares owned by the Company are held in blocked account with Central Depository Company of Pakistan. No withdrawal/ sale from such blocked account is allowed without the prior approval of the State Bank of Pakistan. "

16.3 Investment in AGL – at cost

Investment in AGL represents 223,835 thousand (2024: 122,541 thousand) fully paid ordinary shares of Rs 10 each, representing 37.36% (2024: 28.86%) of AGL's share capital. Market value of the Company's investment in the ordinary shares of AGL as at December 31, 2025, was Rs 15,227,495 thousand (2024: Rs 4,654,111 thousand).

16.4 Investment in TEL – at cost

Investment in TEL represents 598,691 thousand (2024: 598,691 thousand) fully paid ordinary shares of Rs 10 each. The Company currently holds 30% (2024: 30%) shareholding interest in TEL. TEL is a public limited company. TEL is the subsidiary of the HUB Power Company Limited. The principal activities of TEL are owning, operating and maintaining a 1 x 330 MW mine–month coal fired power plant established at Thar Block II, Thar Coal Mine, Sindh. At year end, 598,691 thousand (2024: 598,691 thousand) shares owned by the Company are pledged against security trustee of lenders of TEL.

16.5 Investment in PMP – at cost

Investment in PMP represents 37.5% (2024: 37.5%) equity participation in PMP, amounting to Moroccan Dirhams (MAD) 300,000 thousand (2024: Moroccan Dirhams (MAD) 300,000 thousand) equivalent to Rs 2,117,075 thousand (2024: Rs 2,117,075 thousand).

PMP is a joint venture between the Company, Fauji Foundation (FF) and Office Cherifien Des Phosphates, Morocco. The principal activity of PMP is to manufacture and market Phosphoric acid, fertilizer and other related products in Morocco and abroad.

According to the Shareholders' agreement, if any legal restriction is laid on dividends by PMP, the investment will be converted to interest bearing loan. The Company has also committed not to pledge shares of PMP without prior consent of PMPs' lenders.

Following particulars relate to investment made in the foreign company:

Particulars	Pakistan Maroc Phosphore S.A., Morocco
Name and jurisdiction of associated company	Pakistan Maroc Phosphore S.A., Morocco
Name and address of beneficial owner	Fauji Fertilizer Company Limited located at 156, The Mall Rawalpindi Cantt, Pakistan Fauji Foundation located at 68 Tipu Road, Chaklala, Rawalpindi, Pakistan Office Cherifien Des Phosphates located at Hay Erraha. 2, Rue Al Abtal, Casablanca, Morocco
Amount of investment	Rs 2,117,075 thousand (MAD 300,000 thousand)
Terms and conditions of investment	Equity investment
Amount of return received	Dividend 2009 Rs 42,563 thousand Dividend 2015 Rs 50,911 thousand Dividend 2016 Rs 55,720 thousand Dividend 2017 Rs 262,551 thousand Dividend 2018 Rs 144,061 thousand Dividend 2019 Rs 371,638 thousand Dividend 2020 Rs 335,525 thousand Dividend 2021 Rs 518,962 thousand Dividend 2022 Rs 1,349,419 thousand Dividend 2024 Rs 936,806 thousand Dividend 2025 Rs 7,075,769 thousand
Details of litigations	None
Details of default / breach relating to investment	None
Gain / loss on disposal of investment	Not applicable

16.6 Investment in FFL – at cost

Investment in FFL represents 1,205,576 thousand (2024: 1,205,576 thousand) fully paid ordinary shares of Rs 10 each representing 47.84% (2024: 47.84%) of share capital of FFL as at December 31, 2025. Market value of the Company's investment as at December 31, 2025 was Rs 24,931,312 thousand (2024: Rs 21,615,982 thousand). The Company has gained control over FFL, via its direct holding interest of 47.84% and through shares held by its subsidiary companies i.e FPCL with an interest of 15.87% and FFCEL with an interest of 18.45%. Total shareholding interest of the Company in FFL as at year end is 82.16%. FFL is engaged in process and sale of toned milk, milk powder, fruit juices, allied dairy and food products with shares listed on the Pakistan Stock Exchange Limited.

16.7 Investment in FFCEL – at cost

Investment in FFCEL represents 243,825 thousand (2024: 243,825 thousand) fully paid ordinary shares of Rs 10 each. FFCEL has been incorporated for the purpose of implementing a project comprising establishment and operation of wind power generation facility and supply of electricity. The Company currently holds 100% shareholding interest in FFCEL, out of which 70,000 shares amounting to Rs 700,000 are held in the name of seven nominee directors of the Company.

16.8 Investment in FWEL – I – at cost

Investment in FWEL – I represents 350,249 thousand (2024: 350,249 thousand) fully paid ordinary shares of Rs 10 each. The Company was established with the primary objective to undertake the business of power generation and sale. The Company currently holds 100% shareholding interest in FWEL – I. Shares of FWEL – I have been pledged by the Company in favor of project lenders, till discharge of its debt obligations. Also refer note 16.9.1 to the financial statements.

16.9 Investment in FWEL – II – at cost

Investment in FWEL – II represents 282,215 thousand (2024: 282,215 thousand) fully paid ordinary shares of Rs 10 each. The Company was established with the primary objective to undertake the business of power generation and sale. The Company currently holds 80% shareholding interest in FWEL – II. Shares of FWEL – II have been pledged by the Company in favor of project lenders, till discharge of its debt obligations. Also refer note 16.9.1 to the financial statements.

16.9.1 In accordance with the Share Purchase Agreement, the Company, in the year 2021, has paid base payment amount net of payment amount adjustments of Rs 7,493,051 thousand and Rs 6,019,288 thousand, in full for acquisition of shares of FWEL – I and FWEL – II, respectively, to FF. Further, the Company is also liable to pay additional consideration to FF as and when FWEL – I & FWEL – II receive Delayed Payment Surcharge (DPS), under their respective EPAs. The management of the Company based on its assessment performed believes that the amount of contingent consideration due to previous owners would be immaterial in overall context of the financial statements and has not recognised the same in these financial statements.

16.10 Investment in OLIVE Technical Services (Private) Limited (OLIVE)

Investment in OLIVE represents investment in 10,000 thousand (2024: 10,000 thousand) fully paid ordinary shares of Rs 10 each. The Company currently holds 100% shareholding interest in OLIVE. OLIVE is a private limited company incorporated in Pakistan under Companies Act, 2017. The principal line of business of the Company is to provide technical and engineering services.

16.11 Investment in FPCL – at cost

Investment in FPCL represents 644,063 thousand (2024: 644,063 thousand) fully paid ordinary shares of Rs 10 each. The Company has gained control over FPCL with its holding interest of 75%. The principal objective of FPCL is to set up and operate a 118 MW power project. FPCL has commenced commercial production on May 19, 2017. The principal place of business of FPCL is Eastern Industrial Zone of Port Qasim, Karachi.

In the Extraordinary General Meeting (EOGM) held on December 8, 2025, the shareholders of the Company have approved investment by way of acquisition of 214,687,500 ordinary voting shares (representing 25% of paid up capital) of FPCL from Fauji Foundation against a consideration to issue 15,914,566 ordinary shares of the Company to Fauji Foundation. As at year end, the Company is in the process of obtaining necessary regulatory approvals in this regard.

16.12 Investment in FFF – at cost

Investment in FFF represents 1,123,960 thousand (2024: 1,123,960 thousand) fully paid ordinary shares of Rs 10 each. The Company currently holds 100% shareholding interest in FFF, out of which 8,000 shares amounting to Rs 80,000 are held in the name of eight nominee directors of the Company.

		2025	2024
		Rs '000	Rs '000
16.12.1	**Movement of impairment loss in FFF**		
	Balance at the beginning	6,100,000	2,100,000
	Charge for the year	–	4,000,000
	Balance at the end	6,100,000	6,100,000

16.13 Investment in Arabian Sea Country Club Limited – at cost

The Company holds 300,000 ordinary shares of Rs. 10 each representing equity interest of 3.87% in Arabian Sea Country Club Limited. The breakup value based on audited accounts for the year ended June 30, 2018, was negative Rs. 10.67 per ordinary share. This investment is fully impaired.

16.14 Investments at fair value through profit and loss (FVTPL)

16.14.1 Listed preference shares

For the year 2024, this represented investment in listed, cumulative, non–voting and convertible preference shares of AGL having par value of Rs 10 each. These shares were convertible into variable number of ordinary shares at the discretion of its holder. The preference shareholders had a preferred right to dividend at the rate of 11% per annum on a cumulative basis (on an annual basis). During the year, the Company exercised its option to convert 77,998 thousand listed convertible preference shares of AGL into 91,666 thousand ordinary shares of AGL.

Advance against issue of privately placed Term Finance Certificate (PPTFCs)

For the year 2024, this represented advance against issue of AGL's zero coupon privately placed term finance certificate (PPTFCs) having par value of Rs 5,000 each. During the year, AGL issued the PPTFCs against the advance paid by the Company. Refer note 25.2 to the financial statements.

Un–listed preference shares

This represents investment in 875,948 thousand (2024: 190,011 thousand) un–listed, cumulative, non–convertible preference shares of AGL having par value of Rs 10 each. These shares have limited voting rights and carry dividend at KIBOR + 4.00 % and can be redeemed, in full or in part, at the option of AGL.

16.15 Investments at fair value through other comprehensive income (FVTOCI)

Term Finance Certificates (TFCs)

This represents investments in Bank Alfalah Term Finance Certificate amounting to Rs. 300,000 thousand (2024: Rs. 300,000 thousand) holding tenure of perpetuity with floating return of 6MK+2% per annum.

Pakistan Investment Bonds

Pakistan Investment Bonds with 5 and 10 years tenure having aggregate face value of Rs. 475 million (2024: Rs 2.78 billion) are due to mature within a period of 4 years. Profit on fixed rate PIBs is payable on half yearly basis with coupon rates ranging from 7.50% to 10.00% per annum and floating rate PIB at weighted average 6–Months T–Bill yield + 0.70%. The Pakistan Investment Bonds are placed with banks as collateral to secure borrowing facilities.

	Note	2025	2024
		Rs '000	Rs '000
17. LONG TERM LOANS AND ADVANCES – SECURED			
Loans and advances – considered good, to:			
Executives			
Interest bearing		1,906,270	1,599,691
Non–interest bearing		1,589,567	1,288,302
		3,495,837	2,887,993
Other employees			
Interest bearing		1,232,471	960,314
Non–interest bearing		842,380	572,272
		2,074,851	1,532,586
		5,570,688	4,420,579
Less: Impact of present value of loans and advances to employees		1,797,812	1,600,000
		3,772,876	2,820,579
Advances for capital expenditure	17.2	2,122,531	–
Less: Amount due within twelve months, shown under current loans and advances	22		
Interest bearing		545,083	432,111
Non–interest bearing		820,331	603,202
		1,365,414	1,035,313
		4,529,993	1,785,266

17.1 Reconciliation of gross carrying amount of loans and advances:

	2025			2024
	Executives	Other employees	Total	Total
	Rs '000	Rs '000	Rs '000	Rs '000
Balance at January 1	2,887,993	1,532,586	4,420,579	3,439,210
Adjustments	244,194	(244,194)	–	–
Disbursements	1,318,844	1,126,587	2,445,431	2,289,813
	4,451,031	2,414,979	6,866,010	5,729,023
Repayments	(955,194)	(340,128)	(1,295,322)	(1,308,444)
Balance at December 31	3,495,837	2,074,851	5,570,688	4,420,579

17.1.1 These subsidized and interest free loans and advances are granted to employees as per the Company's policy and are repayable within one to ten years. House building loans carry mark–up at 4% per annum and are secured against the underlying assets.

17.1.2 The maximum amount of loans and advances to executives outstanding at the end of any month during the year was Rs 3,495,837 thousand (2024: Rs 2,954,113 thousand).

17.2 This represents advance paid to Mari Petroleum Company Limited, a related party, in relation to PEF project, as disclosed in note 43 to the financial statements.

17.3 Loans and advances to employees exceeding Rs 1 million

Category	2025 No. of employees	2025 Amount	2024 No. of employees	2024 Amount
		Rs '000		Rs '000
Rs 1 million to Rs 2 million	179	258,554	164	226,962
Exceeding Rs 2 million upto Rs 3 million	197	500,062	136	343,366
Exceeding Rs 3 million upto Rs 5 million	314	1,224,448	273	1,009,651
Exceeding Rs 5 million upto Rs 10 million	225	1,538,828	173	1,199,444
Exceeding Rs 10 million upto Rs 25 million	114	1,874,827	97	1,473,886
	1,029	5,396,719	843	4,253,309

		Note	2025	2024
			Rs '000	Rs '000
18.	**LONG TERM DEPOSITS AND PREPAYMENTS**			
	Non–interest bearing deposits		91,021	91,021
	Prepayments		–	853
			91,021	91,874
19.	**STORES, SPARES AND LOOSE TOOLS**			
	Stores		2,784,073	2,115,073
	Spares		11,486,937	10,375,332
	Provision for slow moving spares	19.1	(1,039,092)	(1,005,641)
			10,447,845	9,369,691
	Loose tools		36,118	34,040
	Items in transit		2,298,436	2,508,835
			15,566,472	14,027,639
19.1	**Movement of provision for slow moving spares**			
	Balance at the beginning		1,005,641	634,216
	Acquisition pursuant to merger of FFBL	1.2	–	289,368
	Provision during the year – net	28.2	33,451	82,057
	Balance at the end		1,039,092	1,005,641
20.	**STOCK IN TRADE**			
	Raw materials		10,780,125	4,502,232
	Raw materials in transit		12,017,478	11,729,164
	Work in process		742,311	685,989
	Finished goods			
	Manufactured fertilizer		13,847,578	1,904,359
	Purchased fertilizer		841,885	4,922,413
			14,689,463	6,826,772
			38,229,377	23,744,157

		Note	2025	2024
			Rs '000	Rs '000
21.	**TRADE DEBTS**			
	Considered good – secured	21.1	20,153,212	943,632
	Considered doubtful		1,758	1,758
			20,154,970	945,390
	Loss allowance		(1,758)	(1,758)
			20,153,212	943,632

21.1 These debts are secured by way of bank guarantees.

		Note	2025	2024
			Rs '000	Rs '000
22.	**LOANS AND ADVANCES – SECURED**			
	Current portion of long term loans and advances	17	1,365,414	1,035,313
	Loans and advances to employees – unsecured			
	– considered good, non–interest bearing			
	Executives		106,018	102,517
	Others		184,992	185,648
	Loans to related parties – interest bearing			
	Fauji Fresh N Freeze Limited (FFF) – a subsidiary	22.1	5,000	50,000
	Agritech Limited (AGL) – an associate	22.2	1,318,294	–
	Advances to suppliers – considered good		2,702,463	3,243,717
			5,682,181	4,617,195

22.1 This represents revolving credit facility provided to Fauji Fresh n Freeze Limited, a related party, to support its cashflow requirements under markup arrangement at the Company's weighted average cost of debt plus 0.10% per annum. The maximum amount of advance to FFF outstanding at the end of any month during the year was Rs 900,000 thousand (2024: Rs 1,800,000 thousand).

22.2 This represents running finance facility provided to Agritech Limited, a related party, to support its cashflow requirements under markup arrangement at the Company's weighted average cost of debt plus 0.10% per annum. The maximum amount of loan to AGL outstanding at the end of any month during the year was Rs 1,318,294 thousand (2024: Rs Nil).

22.3 Loans and advances to employees exceeding Rs 1 million

	2025		2024	
Category	No. of employees	Amount	No. of employees	Amount
		Rs '000		Rs '000
Rs 1 million to Rs 2 million	98	124,811	41	59,168
Exceeding Rs 2 million upto Rs 3 million	14	35,894	11	24,522
Exceeding Rs 3 million upto Rs 5 million	13	47,098	5	19,223
Exceeding Rs 10 million upto Rs 25 million	6	48,457	–	–
	131	256,260	57	102,913

		Note	2025	2024
			Rs '000	Rs '000
23.	**DEPOSITS AND PREPAYMENTS**			
	Non–interest bearing deposits		7,488	8,938
	Prepayments		1,051,259	1,049,690
			1,058,747	1,058,628
24.	**OTHER RECEIVABLES**			
	Accrued income on investments and bank deposits:			
	– Pakistan Investment Bonds		14,968	112,169
	– Conventional banks		16,312	219,403
	– Islamic banks		471	402
	Accrued income on receivable from subsidiary		429,424	390,585
	Sales tax receivable – net	24.1	848,525	13,146,272
	Federal excise duty receivable		79,699	–
	Advance tax	24.2	322,368	322,368
	Subsidy receivable from Government agencies	24.3	10,122,870	10,122,870
	Receivable from subsidiary companies			
	(related parties)	24.4		
	– FFC Energy Limited – unsecured		17,375	163,635
	– Fauji Fresh n Freeze Limited – unsecured		36,327	36,319
	– FFBL Power Company Limited – unsecured		200,764	215,256
	– Fauji Foods Limited – unsecured		40,781	6,986
	– OLIVE Technical Services (Private)			
	Limited – unsecured		233,484	126,938
	– Foundation Wind Energy Limited II – unsecured		6,958	1,506
	Receivable from Pakistan Maroc Phosphore			
	S.A. (related party)		1,931	–
	Receivable from Agritech Limited – unsecured		14,393	–
	Receivable from Fauji Meat Limited – unsecured		30,295	28,487
	Receivable from Joint Operators – PEF project		–	196
	Workers' Profit Participation Fund		–	540,819
	Receivable from pension fund (related party)	24.5	824,327	912,625
	Receivable from gratuity fund – I (related party)	24.5	486,929	–
	Receivable from gratuity fund – II (related party)	24.5	266,606	181,166
	Deferred cost on employee loans		664,250	–
	Other receivables		587,482	1,301,890
	Loss allowance	24.7	(10,083,396)	(10,083,396)
			5,163,143	17,746,496

24.1 Sales tax receivable is net–off provision for sales tax amounting to Rs 39,611,483 thousand (2024: Rs 25,231,061 thousand).

24.2 This represents tax paid by PSFL in excess of admitted tax liabilities net of adjustments of determined refunds. The Company intends to adjust the remaining amount after finalisation of pending re–assessments by the taxation authorities.

24.3 This represents subsidy receivable on sale of Di-Ammonium Phosphate (DAP) fertilizer under schemes announced on October 25, 2015 @ Rs 500 per 50 kg bag and on June 25, 2016 @ Rs 300 per 50 kg bag respectively and subsidy receivable on sale of Urea under scheme announced on June 25, 2016 @ Rs 156 per 50 kg bag under notifications issued by Ministry of National Food Security & Research, Government of Pakistan. Finance Act, 2017 revoked subsidy on sale of DAP and also reduced Urea subsidy to Rs 100 per 50 kg bag for the financial year 2017-18.

24.4 The maximum amount of receivable from FFCEL, FFF, OLIVE, FWEL, FPCL, FML, FFL, and AGL during the year was Rs 118,046 thousand (2024: Rs 163,635 thousand), Rs 465,791 thousand (2024: Rs 495,964 thousand), Rs 233,484 thousand (2024: Rs 127,724 thousand), Rs 10,983 thousand (2024: 12,094 thousand), Rs 273,743 thousand (2024: Rs 261,073 thousand), Rs 46,258 thousand (2024: 28,487 thousand), Rs 40,781 thousand (2024: Rs 19,237 thousand) and Rs 14,393 thousand (2024: Nil) respectively.

		Funded gratuity - I	Funded gratuity - II	Funded pension	2025 Total	2024 Total
		Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
24.5	**Retirement Benefit Funds**					
24.5.1	**The amounts recognized in the statement of financial position are as follows:**					
	Present value of defined benefit obligation	(5,158,129)	(1,198,952)	(3,893,214)	(10,250,295)	(9,470,864)
	Fair value of plan assets	5,645,058	1,465,558	4,717,541	11,828,157	10,060,080
	Asset	486,929	266,606	824,327	1,577,862	589,216
24.5.2	**Amounts recognised in the profit or loss are as follows:**					
	Current service cost	(277,914)	(59,034)	(134,027)	(470,975)	(348,904)
	Net interest cost	(116,137)	20,947	105,520	10,330	(95,478)
		(394,051)	(38,087)	(28,507)	(460,645)	(444,382)
24.5.3	**The movements in the present value of defined benefit obligation is as follows:**					
	Present value of defined benefit obligation at beginning	(5,076,827)	(1,108,253)	(3,285,784)	(9,470,864)	(6,489,927)
	Acquisition pursuant to merger of FFBL – note 1.2	–	–	–	–	(987,597)
	Current service cost	(277,914)	(59,034)	(134,027)	(470,975)	(348,904)
	Interest cost	(610,826)	(134,109)	(391,087)	(1,136,022)	(1,088,590)
	Benefits paid	620,956	68,154	357,746	1,046,856	668,350
	Re–measurement of defined benefit obligation	186,482	34,290	(440,062)	(219,290)	(1,224,196)
	Present value of defined benefit obligation at end	(5,158,129)	(1,198,952)	(3,893,214)	(10,250,295)	(9,470,864)
24.5.4	**The movement in fair value of plan assets:**					
	Fair value of plan assets at beginning	4,572,252	1,289,419	4,198,409	10,060,080	5,858,017
	Acquisition pursuant to merger of FFBL – note 1.2	–	–	–	–	1,106,356
	Expected return on plan assets	494,689	155,056	496,607	1,146,352	993,112
	Contributions	394,051	–	28,507	422,558	428,563
	Benefits paid	(620,956)	(68,154)	(357,746)	(1,046,856)	(668,350)
	Re–measurement of plan assets	805,022	89,237	351,764	1,246,023	2,342,382
	Fair value of plan assets at end	5,645,058	1,465,558	4,717,541	11,828,157	10,060,080
24.5.5	**Actual return on plan assets and others**	(1,299,711)	(244,293)	(848,371)	(2,392,375)	3,335,495
24.5.6	**Contributions expected to be paid to the plan during the next year**	233,914	25,567	67,983	327,464	460,645

		Funded gratuity - I	Funded gratuity - II	Funded pension	2025 Total	2024 Total
		Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
24.5.7	**Plan assets comprise of:**					
	Quoted:					
	Investment in debt securities	3,353,189	1,155,152	2,681,631	7,189,972	4,343,730
	Investment in equity securities	2,021,440	225,138	1,598,581	3,845,159	3,284,171
	Mutual funds	214,508	41,062	209,812	465,382	2,359,249
	Un–quoted:					
	Deposits with banks	211,842	43,839	288,493	544,174	116,485
	Others	(155,921)	367	(60,976)	(216,530)	(43,555)
		5,645,058	1,465,558	4,717,541	11,828,157	10,060,080

24.5.8 The expected return on plan assets is based on the market expectations and depend upon the asset portfolio of the Funds, at the beginning of the year, for returns over the entire life of the related obligations.

		2025			2024		
		Funded gratuity - I	Funded gratuity - II	Funded pension	Funded gratuity - I	Funded gratuity - II	Funded pension
		Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
24.5.9	**Movement in asset/ (liability) recognised in statement of financial position:**						
	Opening asset/ (liability)	(504,575)	181,166	912,625	(997,592)	–	365,682
	Acquisition pursuant to merger of FFBL – note 1.2	–	–	–	–	118,759	–
	Cost for the year recognised in profit or loss	(394,051)	(38,087)	(28,507)	(385,115)	(15,819)	(43,448)
	Employer's contribution during the year	394,051	–	28,507	385,115	–	43,448
	Total amount of re–measurement recognised in Other Comprehensive Income (OCI) during the year	991,504	123,527	(88,298)	493,017	78,226	546,943
	Closing asset/ (liability)	486,929	266,606	824,327	(504,575)	181,166	912,625
24.5.10	**Re–measurements recognised in OCI during the year:**						
	Re–measurement gain/ (loss) on obligation						
	Due to change in financial assumptions	(7,163)	5,914	(400,800)	(543,295)	(7,503)	(781,439)
	Due to change in demographic assumptions	–	–	–	(40,145)	(11,861)	(63,773)
	Due to change in experience adjustments	193,645	28,376	(39,262)	143,131	(29,610)	110,299
		186,482	34,290	(440,062)	(440,309)	(48,974)	(734,913)
	Re–measurement loss / (gain) on plan assets						
	Actual return on plan assets	1,304,552	245,448	851,672	1,406,694	209,129	1,282,947
	Interest income on plan assets	(494,689)	(155,056)	(496,607)	(490,023)	(81,929)	(421,161)
	Others	(4,841)	(1,155)	(3,301)	16,655	–	420,070
		805,022	89,237	351,764	933,326	127,200	1,281,856
	Re–measurement (gain)/ loss recognised in OCI	991,504	123,527	(88,298)	493,017	78,226	546,943

		2025			2024		
		Funded gratuity - I	Funded gratuity - II	Funded pension	Funded gratuity - I	Funded gratuity - II	Funded pension
		(Percentage)					
24.5.11	**Principal actuarial assumptions used in the actuarial valuations are as follows:**						
	Discount rate	11.00	11.00	11.00	12.25	12.25	12.25
	Expected rate of salary growth – short term						
	Management	12.00	11.75	12.00	13.25	13.00	13.25
	Non–Management	13.00	–	–	14.25	–	–
	Expected rate of salary growth – long term						
	Management	12.00	11.75	12.00	13.25	13.00	13.25
	Non–Management	13.00	–	–	14.25	–	–
	Expected rate of return on plan assets	11.00	11.00	11.00	12.25	12.25	12.25
	Expected rate of increase in post retirement pension						
	Short term			6.00			6.00
	Long term			6.00			6.00
	Maximum pension limit increase rate			6.00			6.00
	Minimum pension limit increase rate			6.00			6.00
	Demographic assumptions						
	Mortality rates (for death in service)	SLIC (2001–05)–1	SLIC (2001–05)–1	SLIC (2001–05)–1	SLIC (2001–05)–1	SLIC (2001–05)–1	SLIC (2001–05)–1
	Rates of employee turnover						
	Management	Light	Moderate	Light	Light	Moderate	Light
	Non–Management	Light	–	–	Light	–	–

24.5.12 Sensitivity analysis

The calculation of the defined benefit obligation is sensitive to assumptions set out above. The following table summarizes how the impact on the defined benefit obligation at the end of the reporting period would have increased / (decreased) as a result of a change in respective assumptions by one percent.

	2025 Defined benefit obligation		2024 Defined benefit obligation	
	Effect of 1 percent increase	Effect of 1 percent decrease	Effect of 1 percent increase	Effect of 1 percent decrease
	Rs '000	Rs '000	Rs '000	Rs '000
Discount rate	(846,102)	984,942	(740,523)	858,473
Future salary growth	591,591	(528,403)	556,057	(495,338)
Future pension	432,047	(374,441)	338,140	(293,317)

The impact of changes in financial assumptions has been determined by revaluation of the obligations on different rates.

		2025			2024		
		Funded gratuity - I	Funded gratuity - II	Funded pension	Funded gratuity - I	Funded gratuity - II	Funded pension
		(Years)					
24.5.13	**The weighted average number of years of defined benefit obligation is given below:**						
	Plan duration	8.83	7.73	8.59	8.47	7.61	7.92

		2025			2024		
		Funded gratuity - I	Funded gratuity - II	Funded pension	Funded gratuity - I	Funded gratuity - II	Funded pension
		Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
24.5.14	**Analysis of present value of defined benefit obligations:**						
	Vested / non – vested						
	Vested	5,116,470	1,157,470	–	5,035,826	1,037,150	–
	Non – vested	41,659	41,482	–	41,001	71,103	–
		5,158,129	1,198,952	–	5,076,827	1,108,253	–
	Types of members						
	Active	–	–	3,668,599	–	–	3,083,657
	Retirees	–	–	224,615	–	–	202,127
		–	–	3,893,214	–	–	3,285,784
	Types of benefits earned to date						
	Accumulated benefit obligation	2,194,203	537,209	2,721,522	2,128,624	466,959	2,379,901
	Amount attributed to future salary increases	2,963,926	661,743	1,171,692	2,948,203	641,294	905,883
		5,158,129	1,198,952	3,893,214	5,076,827	1,108,253	3,285,784

24.5.15 The Company contributes to the pension and gratuity funds on the advice of the fund's actuary. The contributions are equal to the current service cost with adjustment for any deficit. If there is a surplus, the Company takes a contribution holiday.

		2025			2024		
		Funded gratuity - I	Funded gratuity - II	Funded pension	Funded gratuity - I	Funded gratuity - II	Funded pension
		Rs '000	Rs '000	Rs '000	Rs '000	Rs '000	Rs '000
24.5.16	**Distribution of timing of benefit payments:**						
	1 year	412,355	87,678	323,294	464,281	86,805	326,053
	2 years	423,058	107,341	317,842	566,291	115,319	400,667
	3 years	495,771	102,975	381,346	463,898	93,512	330,940
	4 years	591,979	93,456	353,222	555,663	123,800	384,512
	5 years	654,904	164,159	581,654	624,155	103,502	310,881
	6–10 years	3,354,301	955,089	2,368,509	3,557,974	1,118,725	2,082,935

24.5.17 Retirement benefit plans are exposed to the following risks:

Mortality risks

The risk that the actual mortality experience is different. The effect depends on the beneficiaries' service/ age distribution and the benefit.

Investment risks

The risk of the investment underperforming and not being sufficient to meet the liabilities.

The Company ensures that the assets in the fund are managed within an asset–liability matching framework. Within this framework, the Company's objective is to match assets to the defined benefit obligations by investing in liquid assets including units of mutual funds and bank deposits that match the benefit payments as they fall due. The Company actively monitors that the duration and the expected yield of the investments are matching the expected cash outflows arising from the defined benefit obligations.

Final salary risks

The risk that the final salary at the time of cessation of service is higher than what we assumed. Since the benefit is calculated on the final salary, the benefit amount increases similarly.

Withdrawal / mortality risk

The risk of higher or lower withdrawal experience than assumed. The final effect could go either way depending on the beneficiaries' service/age distribution and the benefit.

24.5.18 Salaries, wages and benefits" expense, stated in notes 28 and 29 include retirement benefits in respect of gratuity fund, provident fund, pension plan and compensated absences amounting to Rs 432,138 thousand, Rs 362,787 thousand, Rs 26,397 thousand and Rs 638,588 thousand, respectively (2024: Rs 387,133 thousand, Rs 265,311 thousand, Rs 37,989 thousand and Rs 533,873 thousand respectively). These amounts are reduced by the amount of charges debited to FFC Energy Limited and Agritech Limited under Inter Company Services Agreements.

24.6 Defined contribution plan

Investments out of provident fund have been made in accordance with the provisions of section 218 of the Companies Act, 2017, and the rules formulated for the purpose.

		Note	2025	2024
			Rs '000	Rs '000
24.7	**Movement of loss allowance**			
	Balance at the beginning		10,083,396	5,719,404
	Acquisition pursuant to merger of FFBL	1.2	–	3,160,992
	Charge for the year		–	1,203,000
	Balance at the end	24.7.1	10,083,396	10,083,396

24.7.1 As required under IFRS – 9, an entity is required to assess changes in credit risk by taking into account the time value of money, reasonable and supportable assumptions regarding past events, current conditions, forecast of future events and economic conditions attached to its receivables and recognise expected credit loss, if any. Based on this, the Company has recomputed expected credit loss on subsidy receivable from GoP giving due consideration to the time value of money based on expected recovery of the subsidy receivable. The Company, however, is confident of full recovery of the subsidy amount from GoP.

		Note	2025	2024
			Rs '000	Rs '000
25.	**SHORT TERM INVESTMENTS**			
	Amortised cost – conventional investments	25.1		
	Term deposits with banks and financial institutions			
	Local currency		–	1,000,000
	Foreign currency		5,530,553	5,258,558
			5,530,553	6,258,558
	Investment in privately placed term finance certificates (PPTFCs)	25.2	1,831,517	–
			7,362,070	6,258,558
	Investments at fair value through profit or loss	25.3		
	Conventional investments		42,157,553	115,866,035
	Shariah compliant investments		131,936,118	79,583,317
			174,093,671	195,449,352
	Current maturity of long term investments			
	Fair value through OCI	16	–	2,274,203
			181,455,741	203,982,113

25.1 These represent investments having maturities ranging between 1 to 3 months and are being carried at amortized cost.

25.2 This represents investment in privately place term finance certificates (PPTFCs) of AGL having par value of Rs 5,000 each. These PPTFCs are zero coupon instruments and are payable to the instrument holders in the form of a bullet payment by the end of 2026. These instruments have been initially recognized at fair value, determined by discounting the expected future cash flows at a rate of 11.02%.

25.3 Fair values of these investments are determined using quoted repurchase price.

25.3.1 The details of investment in mutual funds are as follows:

	2025		2024	
	Number of units	Fair value	Number of units	Fair value
	In '000	Rs '000	In '000	Rs '000
Money Market Funds	729,919	34,444,350	3,565,563	104,222,055
Income Funds	626,123	7,713,203	532,168	11,643,980
Shariah Compliant Funds	3,091,645	131,936,118	1,586,615	79,583,317
	4,447,687	174,093,671	5,684,346	195,449,352

		Note	2025	2024
			Rs '000	Rs '000
26.	**CASH AND BANK BALANCES**			
	At banks			
	Local currency			
	Current account – Conventional banking		1,682,556	321,938
	Current account – Islamic banking		9,124	126,835
	Deposit account – Conventional banking	26.1	6,451,902	11,587,772
	Deposit account – Islamic banking	26.2	71,705	213,929
			8,215,287	12,250,474
	Foreign currency			
	Deposit account (2025: US$ 315; 2024: US$ 19,993)		89	5,545
		26.3	8,215,376	12,256,019
	Drafts in hand and in transit			
	Cash in transit	26.4	128,032	135,040
	Cash in hand		–	985
		26.5	8,343,408	12,392,044

26.1 Balances with banks carry markup upto 9.50% (2024: 13.50%) per annum.

26.2 Balances with banks carry profit ranging from 3.55% to 9.50% (2024: 4.70% to 14.25%) per annum.

26.3 Balances with banks include Rs 370,309 thousand (2024: Rs 285,040 thousand) in respect of security deposits received.

26.4 These represent demand drafts held by the Company at year end.

26.5 This includes balances of Rs 6,063,988 thousand (2024: Rs 6,105,988 thousand) held under lien.

		Note	2025	2024
			Rs '000	Rs '000
26.6	**Cash and cash equivalents**			
	Cash and cash equivalents included in			
	the statement of cash flows comprise			
	of the following:			
	Cash and bank balances	26	8,343,408	12,392,044
	Short term borrowings	12	(18,594,647)	(31,278,908)
	Short term highly liquid investments	25	179,624,224	201,707,910
	Bank balances held under lien		(6,063,988)	(6,105,988)
			163,308,997	176,715,058
27.	**TURNOVER – NET**			
	Manufactured fertilizers		455,712,466	354,802,952
	Purchased and packaged fertilizers		18,193,382	44,799,510
			473,905,848	399,602,462
	Less: Trade discounts		(8,683,691)	–
	Less: Sales tax and excise duty		(32,811,714)	(26,065,542)
			432,410,443	373,536,920

		Note	2025	2024
			Rs '000	Rs '000
28.	**COST OF SALES**			
	Raw materials consumed	28.1	211,878,450	124,307,301
	Fuel and power		41,812,236	34,251,183
	Chemicals and supplies		2,759,992	1,637,135
	Salaries, wages and benefits		17,182,129	15,060,444
	Training and employees welfare		2,025,321	1,604,812
	Rent, rates and taxes		178,603	198,164
	Insurance		1,552,638	1,425,949
	Travel and conveyance		2,405,706	1,850,643
	Repairs and maintenance (includes stores and spares consumed of Rs 2,228,592 thousand; 2024: Rs 1,752,522 thousand)		7,143,036	4,578,301
	Depreciation	14.1	4,936,867	3,451,191
	Amortisation	15.1	3,324	1,497
	Communication and other expenses	28.2	7,651,879	7,764,043
			299,530,181	196,130,663
	Opening stock – work in process		685,989	174,232
	Acquisition pursuant to merger of FFBL	1.2	–	337,626
	Closing stock – work in process		(742,311)	(685,989)
			(56,322)	(174,131)
	Cost of goods manufactured		299,473,859	195,956,532
	Opening stock – manufactured goods		1,904,359	744,590
	Acquisition pursuant to merger of FFBL	1.2	–	11,847,004
	Closing stock – manufactured goods		(13,847,578)	(1,904,359)
			(11,943,219)	10,687,235
	Cost of sales – manufactured goods		287,530,640	206,643,767
	Opening stock – purchased fertilizers		4,922,413	545,387
	Purchase of fertilizers for resale		10,188,561	44,097,610
	Closing stock – purchased fertilizers		(841,885)	(4,922,413)
	Cost of sales – purchased fertilizers		14,269,089	39,720,584
			301,799,729	246,364,351

28.1 This includes provision against sales tax receivable amounting to Rs 14,125,422 thousand (2024: Rs 9,793,003 thousand).

28.2 This includes provision for slow moving spares amounting to Rs 33,451 thousand (2024: Rs 82,057 thousand).

		Note	2025	2024
			Rs '000	Rs '000
29.	**DISTRIBUTION COST**			
	Product transportation		20,349,907	19,750,666
	Salaries, wages and benefits		4,573,289	4,636,510
	Training and employees welfare		468,288	404,538
	Rent, rates and taxes		430,048	333,020
	Insurance		1,852	68,196
	Technical services to farmers		50,945	36,796
	Travel and conveyance		1,076,811	845,737
	Sale promotion and advertising		1,411,005	614,950
	Communication and other expenses		3,015,516	2,219,374
	Warehousing expenses		713,068	322,704
	Depreciation	14.1	247,591	130,582
	Amortisation	15.1	511	581
			32,338,831	29,363,654
30.	**FINANCE COST**			
	Mark–up / profit on long term borrowings			
	Conventional borrowings		1,566,707	2,687,402
	Islamic borrowings		2,696,078	2,828,574
			4,262,785	5,515,976
	Mark–up / profit on short term borrowings			
	Conventional borrowings		1,147,111	470,785
	Islamic borrowings		741,769	282,822
			1,888,880	753,607
	Bank and other charges		366,309	254,312
			6,517,974	6,523,895
31.	**OTHER EXPENSES**			
	Research and development		2,283,716	1,927,680
	Workers' Profit Participation Fund		6,461,896	5,956,317
	Workers' Welfare Fund		1,911,826	1,991,863
	Auditor's Remuneration			
	Audit fee		10,000	6,816
	Fee for half yearly review, audit of consolidated			
	financial statements, audit of employee			
	retirement benefit funds, review of Code of			
	Corporate Governance and other certifications			
	in the capacity of external auditors		5,484	5,617
	Special purpose audits and other certifications		–	23,800
	Taxation and consultancy services		59,596	75,612
	Out of pocket expenses		1,050	917
			76,130	112,762
			10,733,568	9,988,622

		2025	2024
		Rs '000	Rs '000
32.	**OTHER INCOME**		
	Income from financial assets		
	Income on loans, deposits and investments in:		
	– Pakistan Investment Bonds	182,633	376,329
	– Conventional banks	1,061,997	2,623,584
	– Islamic banks	2,757	174,926
	– Employee loans	111,098	88,529
	Gain on investments:		
	– Conventional mutual funds	6,216,176	1,588,971
	– Shariah compliant mutual funds	3,635,725	1,537,141
	Gain on re–measurement of investments		
	classified as fair value through profit of loss on:		
	– Conventional mutual funds	1,592,748	6,036,560
	– Shariah compliant mutual funds	3,038,990	2,696,087
	– Other investments	237,710	–
	Dividend income on:		
	– Conventional mutual fund	19,505	4,336,251
	– Shariah compliant mutual fund	2,047	3,777,644
	Unwinding of discount on employee loans	530,782	–
	Exchange (loss) on foreign currency – net	(792,384)	(249,807)
		15,839,784	22,986,215
	Income from subsidiaries, associates and joint venture		
	Dividend from subsidiaries		
	– FWEL–I	4,027,869	2,626,871
	– FWEL–II	3,019,703	3,245,475
	– FFCEL	2,000,000	1,706,775
		9,047,572	7,579,121
	Dividend from associates		
	– AKBL	5,862,499	1,563,333
	– FFBL (prior to merger/ amalgamation)	–	644,019
	– TEL	299,345	–
	– FCCL	131,836	105,469
		6,293,680	2,312,821
	Dividend from joint venture		
	– PMP	7,075,769	936,806
	Income from revolving credit facility to FFF	38,839	64,911
	Income from non – financial assets		
	Gain on disposal of property, plant and equipment	45,084	50,729
	Gain on disposal of investment property	–	585,716
	Commission on sale of AGL products	7,249	–
	Commission on sale of FFBL products prior to merger/		
	amalgamation of FFBL with and into the Company	–	11,337
		52,333	647,782
	Other income		
	Scrap sales	414,267	152,472
	Others	1,081,500	551,209
		1,495,767	703,681
		39,843,744	35,231,337

33. FINAL TAXES – LEVIES

This represents final taxes paid under section 5 and section 8 of Income Tax Ordinance, 2001 (ITO, 2001), representing levy in terms of requirements of IAS 37/ IFRIC 21.

33.1 Reconciliation between current tax and levy:

Reconciliation of current tax charged as per tax laws for the year, with current tax recognized in the profit and loss account is as follows:

	Note	2025	2024
		Rs '000	Rs '000
Current tax liability for the year as per applicable tax laws		46,812,407	43,016,750
Less:			
Portion of current tax liability as per tax laws representing income tax under IAS 12	34	(46,804,002)	(40,988,276)
Portion of current tax computed as per tax laws, representing levy in terms of requirements of IAS 37/ IFRIC 21		(8,405)	(2,028,474)
		–	–

33.2 The aggregate of final tax and income tax amounting to Rs 46,812,407 thousand (2024: Rs 43,016,750 thousand) represents tax liability of the Company calculated under the relevant provisions of the Income Tax Ordinance, 2001.

	2025	2024
	Rs '000	Rs '000
34. PROVISION FOR TAXATION		
Current tax		
Current year	45,801,413	40,988,276
Prior year	1,002,589	–
	46,804,002	40,988,276
Deferred tax	487,411	3,364,140
	47,291,413	44,352,416
34.1 Reconciliation between tax expense and accounting profit		
Profit before income tax	120,855,680	109,083,855

	2025	2024
	%	%
Applicable tax rate	29.00	29.00
Tax effect of income that is exempt or taxable at reduced rates	(4.85)	(3.43)
Effect of permanent differences	2.90	6.54
Effect of super tax	11.25	10.06
Prior year charge	0.83	–
Effect of final tax levies	–	(1.62)
Others	–	0.11
Average effective tax rate charged on income	39.13	40.66

		2025	2024
		Rs '000	Rs '000
34.2	**Tax impacts on items recognised in other comprehensive income**		
	Tax impact on:		
	(Deficit)/surplus on re–measurement of investments to fair value	(27,674)	128,610
	Gain on re–measurement of staff retirement benefit plans	400,426	436,092
		372,752	564,702

		2025	2024
35.	**EARNINGS PER SHARE – BASIC AND DILUTED**		
	Profit for the year (Rupees '000)	73,564,267	64,731,439
	Weighted average number of shares in issue (Number '000)	1,423,109	1,423,109
	Basic and diluted earnings per share (Rupees)	51.69	45.49

There is no dilutive effect on the basic earnings per share of the Company.

36. REMUNERATION OF CHIEF EXECUTIVE, DIRECTORS AND EXECUTIVES

The aggregate amounts charged in these financial statements in respect of remuneration including benefits applicable to the chief executive, directors and executives of the Company are given below:

	2025		2024	
	Chief Executive	Executives	Chief Executive	Executives
	Rs '000		Rs '000	
Managerial remuneration	92,201	4,817,381	78,437	3,576,033
Contribution to provident fund	6,359	253,027	5,409	202,746
Bonus and other awards	42,442	745,193	37,420	1,385,931
Good performance award	–	1,400,204	–	1,297,665
Allowances and contribution to retirement benefit plans	15,863	5,101,144	32,546	4,466,204
Total	156,865	12,316,949	153,812	10,928,579
No. of person(s)	1	970	2	875

The above were provided with medical facilities; the chief executive and certain executives were also provided with some furnishing items and vehicles in accordance with the Company's policy. Gratuity is payable to the Chief Executive in accordance with the terms of employment while contributions for executives in respect of gratuity and pension are based on actuarial valuations. Leave encashment of Rs Nil thousand (2024: Rs. 9,749 thousand) and Rs. 125,146 thousand (2024: Rs. 96,638 thousand) were paid to chief executive and executives respectively on separation, in accordance with the Company's policy.

Executive means an employee whose basic salary exceeds Rs 1,200 thousand (2024: Rs 1,200 thousand) during the year.

In addition, 13 (2024: 20) directors were paid aggregate fee of Rs. 44,300 thousand (2024: Rs. 54,300 thousand). Directors are not paid any remuneration except meeting fee.

37. RECONCILIATION OF MOVEMENT OF LIABILITIES TO CASH FLOWS ARISING FROM FINANCING ACTIVITIES

	Long term borrowings	Lease Liabilities	Unclaimed dividend	Total
	Rs '000	Rs '000	Rs '000	Rs '000
Balance at January 1, 2025	38,200,000	–	662,885	38,862,885
Changes from financing cash flows				
Draw–downs	30,000,000	–	–	30,000,000
Repayments	(6,900,000)	–	–	(6,900,000)
Repayment of lease liability – net	–	–	–	–
Dividend paid	–	–	(70,255,954)	(70,255,954)
	23,100,000	–	(70,255,954)	(47,155,954)
Other changes				
Dividend declared	–	–	70,443,881	70,443,881
Interest expense on lease liability	–	–	–	–
	–	–	70,443,881	70,443,881
Balance at December 31, 2025	61,300,000	–	850,812	62,150,812

	Long term borrowings	Lease Liabilities	Unclaimed dividend	Total
	Rs '000	Rs '000	Rs '000	Rs '000
Balance at January 1, 2024	24,295,000	17,437	516,867	24,829,304
Changes from financing cash flows				
Draw–downs	20,000,000	–	–	20,000,000
Repayments	(19,178,333)	–	–	(19,178,333)
Repayment of lease liability – net	–	(18,147)	–	(18,147)
Dividend paid	–	–	(24,927,681)	(24,927,681)
	821,667	(18,147)	(24,927,681)	(24,124,161)
Other changes				
Dividend declared	–	–	24,935,869	24,935,869
Additions pursuant to merger of FFBL – note 1.2	13,083,333	–	137,830	13,221,163
Interest expense on lease liability	–	710	–	710
	13,083,333	710	25,073,699	38,157,742
Balance at December 31, 2024	38,200,000	–	662,885	38,862,885

		Note	2025	2024
			Rs '000	Rs '000
38.	**CASH GENERATED FROM OPERATIONS**			
	Profit before income tax		120,855,680	109,083,855
	Adjustments for:			
	Unwinding of GIDC liability	10.1	–	212,406
	Loss allowance on subsidy receivable from GoP	24.7	–	1,203,000
	Impairment loss on investment in a subsidiary	16.12.1	–	4,000,000
	Impact of present value of loans and advances to employees	17	–	1,600,000
	Provision for sales tax	24.1	14,380,422	12,404,003
	Depreciation	14.1	5,187,767	3,583,940
	Amortization	15.1	3,835	2,078
	Provision for slow moving spares	28.2	33,451	82,057
	Finance cost	30	6,517,974	6,523,895
	Income on loans, deposits and investments		(1,397,324)	(3,328,279)
	Gain on re–measurement of other investments held at FVTPL	32	(237,710)	–
	Dividend income	32	(22,417,021)	(10,828,748)
	Final taxes – levies		8,405	2,028,474
	Unwinding of discount on employee loans	32	(530,782)	–
	Amortization of deferred cost on employee loans		64,344	–
	Exchange loss – net	32	792,384	249,807
	Gain on disposal of investment property	32	–	(585,716)
	Gain on disposal of property, plant and equipment	32	(45,084)	(50,729)
			2,360,661	17,096,188
			123,216,341	126,180,043
	Changes in working capital:			
	(Increase) / decrease in current assets			
	Stores, spares and loose tools		(1,572,284)	(3,550,392)
	Stock in trade		(14,485,220)	6,496,624
	Trade debts		(19,209,580)	890,156
	Loans and advances		253,308	867,058
	Deposits and prepayments		(119)	(340,237)
	Other receivables		(367,470)	(1,033,787)
	Bank balance under lien		42,000	905,644
	Increase / (decrease) in current liabilities			
	Trade and other payables		7,999,010	29,560,777
			(27,340,355)	33,795,843
	Changes in long term loans and advances		(2,942,539)	(755,628)
	Changes in long term deposits and prepayments		853	(853)
	Changes in compensated leave absences		429,820	344,104
			93,364,120	159,563,509

39. DISCLOSURE REQUIREMENT FOR COMPANIES NOT ENGAGED IN SHARIAH NON–PERMISSBILE BUSINESS ACTIVITIES

Following information has been disclosed as required under amended part I clause VII of Fourth Schedule to the Companies Act, 2017 as amended via S.R.O.1278(I)/2024 dated August 15, 2024:

Description	Explanation	Note	2025	2024
			Rs '000	Rs '000
STATEMENT OF FINANCIAL POSITION				
Assets				
Long term investments	Shariah	16	56,694,755	54,311,962
Loans and advances	Shariah	17	3,734,147	1,257,372
Short term investments	Shariah	25	133,767,635	79,583,317
Bank balances / instruments	Shariah	26	208,861	476,789
Liabilities				
Long term borrowings – secured				
(including current portion)	Shariah	7	49,750,000	23,500,000
Short term borrowings – secured	Shariah	12	8,957,163	3,746,171
Mark–up and profit accrued	Shariah	11	650,289	658,473
STATEMENT OF PROFIT OR LOSS				
Turnover	Shariah	27	432,410,443	373,536,920
Sources and detailed breakup of other income				
Income on loans, deposits	Non – shariah		1,355,728	3,088,442
and investments	Shariah		2,757	174,926
		32	1,358,485	3,263,368
Gain on investments	Non – shariah		6,216,176	1,588,971
	Shariah		3,635,725	1,537,141
		32	9,851,901	3,126,112
Gain on re–measurement	Non – shariah		1,592,748	6,036,560
of investments	Shariah		3,038,990	2,696,087
		32	4,631,738	8,732,647
Dividend income	Non – shariah		5,882,004	5,899,584
	Shariah		16,556,569	13,043,059
		32	22,438,573	18,942,643
Other income / (loss)	Non – shariah		14,947	(184,896)
	Shariah		1,548,100	1,351,463
		32	1,563,047	1,166,567

Relationship with Shariah–compliant financial institutions

The Company has relationships with banks, having Islamic window of operations, in respect of bank balances / instruments amounting to Rs 208,861 thousand (2024: Rs 476,789 thousand) and availed borrowing facilities amounting to Rs 59,357,452 thousand (2024: Rs 27,904,644 thousand). The Company also has relationships with Shariah compliant financial institutions, Asset Management Companies (AMCs), in respect of investment in mutual funds amounting to Rs 131,936,118 thousand (2024: 79,583,317 thousand).

40. FINANCIAL INSTRUMENTS AND RISK MANAGEMENT

40.1 Financial instruments by category

	Amortised cost	Fair value through profit or loss	Fair value through other comprehensive income	Total
	Rs '000	Rs '000	Rs '000	Rs '000
December 31, 2025				
Financial assets:				
Maturity up to one year				
Trade debts	20,153,212	–	–	20,153,212
Loans and advances	2,979,718	–	–	2,979,718
Deposits	7,488	–	–	7,488
Other receivables	1,670,439	–	–	1,670,439
Short term investments	7,362,070	174,093,671	–	181,455,741
Cash and bank balances	8,343,408	–	–	8,343,408
Maturity after one year				
Long term investments	–	5,917,440	765,178	6,682,618
Long term loans and advances	2,407,462	–	–	2,407,462
Long term deposits	91,021	–	–	91,021
	43,014,818	180,011,111	765,178	223,791,107

	Amortised Cost
	Rs '000
Financial liabilities:	
Maturity up to one year	
Current portion of long term borrowings	11,050,000
Trade and other payables	164,521,446
Markup and profit accrued	940,275
Short term borrowings	18,594,647
Unclaimed dividend	850,812
Maturity after one year	
Long term borrowings	50,250,000
	246,207,180

	Amortised cost	Fair value through profit or loss	Fair value through other comprehensive income	Total
	Rs '000	Rs '000	Rs '000	Rs '000
December 31, 2024				
Financial assets:				
Maturity up to one year				
Trade debts	943,632	–	–	943,632
Loans and advances	1,373,478	–	–	1,373,478
Deposits	8,938	–	–	8,938
Other receivables	2,643,246	–	–	2,643,246
Short term investments	6,258,558	195,449,352	2,274,203	203,982,113
Cash and bank balances	12,392,044	–	–	12,392,044
Maturity after one year				
Long term investments	3,299,093	2,736,149	740,182	6,775,424
Long term loans and advances	1,785,266	–	–	1,785,266
Long term deposits	91,021	–	–	91,021
	28,795,276	198,185,501	3,014,385	229,995,162

	Amortised Cost
	Rs '000
Financial liabilities:	
Maturity up to one year	
Current portion of long term borrowings	6,900,000
Trade and other payables	160,280,647
Markup and profit accrued	923,406
Short term borrowings	31,278,908
Unclaimed dividend	662,885
Maturity after one year	
Long term borrowings	31,300,000
	231,345,846

40.2 Credit quality of financial assets

The credit quality of Company's financial assets have been assessed below by reference to external credit rating of counterparties determined by the Pakistan Credit Rating Agency Limited (PACRA) and JCR – VIS Credit Rating Company Limited (JCR – VIS). The counterparties for which external credit ratings were not available have been assessed by reference to internal credit ratings determined based on their historical information for any default in meeting obligations.

	Rating	2025	2024
		Rs '000	Rs '000
Trade Debts			
Counterparties without external credit ratings			
Existing customers with no default in the past		20,153,212	943,632
Loans and advances			
Counterparties without external credit ratings			
Loans and advances		2,979,718	1,373,478
Deposits			
Counterparties without external credit ratings			
Others		7,488	8,938
Other receivables			
Counterparties with external credit ratings	A1+ / A1+		
	A1 / A1 / A–2	31,751	331,974
Counterparties without external credit ratings			
Balances with related parties		1,011,732	969,908
Others		626,956	1,341,364
		1,670,439	2,643,246
Short term investments			
Counterparties with external credit ratings	A1+	5,530,553	6,258,558
	AM1	162,757,938	176,873,816
	AM2+	11,335,733	18,575,536
Counterparties without external credit ratings			
Investment in related party		1,831,517	–
PIBs issued by the Government of Pakistan		–	2,274,203
		181,455,741	203,982,113
Bank balances			
Counterparties with external credit ratings	A1+/A–1+	8,331,667	11,496,006
	A1/A–1	11,730	875,567
	A–2	11	20,468
	A–3	–	3
		8,343,408	12,392,044
Long term investments			
Counterparties with external credit ratings	AA +	300,000	300,000
Counterparties without external credit ratings			
PIBs issued by the Government of Pakistan		465,178	440,182
Others		5,917,440	6,035,242
		6,682,618	6,775,424
Long term loans and advances			
Counterparties without external credit ratings		2,407,462	1,785,266
Long term deposits			
Counterparties without external credit ratings		91,021	91,021

40.3 Financial risk management

The Company has exposures to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

The Board of Directors has overall responsibility for the establishment and oversight of the Company's risk management framework. The Board is also responsible for developing and monitoring the Company's risk management policies.

The Company's risk management policies are established to identify and analyze the risks faced by the Company, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Company's activities. The Company, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment in which all employees understand their roles and obligations.

The Audit Committee oversees how management monitors compliance with the Company's risk management policies and procedures, and reviews the adequacy of the risk management framework in relation to the risks faced by the Company. The Audit Committee is assisted in its oversight role by Internal Audit. Internal Audit undertakes both regular and ad hoc reviews of risk management controls and procedures, the results of which are reported to the Audit Committee.

a) Credit risk

Credit risk is the risk of financial loss to the Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations, and can arise from investments, loans and advances, deposits, trade debts, other receivables, short term investments and bank balances. The carrying amount of financial assets represents the maximum credit exposure. The maximum exposure to credit risk at the reporting date was:

	2025	2024
	Rs '000	Rs '000
Long term investments	6,682,618	6,775,424
Loans and advances	5,387,180	3,158,744
Deposits	98,509	99,959
Trade debts	20,153,212	943,632
Other receivables	1,670,439	2,643,246
Short term investments	181,455,741	203,982,113
Bank balances	8,343,408	12,392,044
	223,791,107	229,995,162

Geographically, there is no concentration of credit risk.

The maximum exposure to credit risk for trade debts at the reporting date are with dealers within the Country.

The Company's most significant financial asset is from an Asset Management Company which amounts to Rs 39,284,670 thousand (2024: Rs 25,786,126 thousand). This is included in total carrying amount of investments as at reporting date.

Trade debts amounting to Rs 20,153,212 thousand (2024: Rs 943,632 thousand) are secured against letter of guarantee. The Company has placed funds in financial institutions with high credit ratings. The Company assesses the credit quality of the counter parties as satisfactory. The Company does not hold any collateral as security against any of its financial assets other than trade debts.

The Company limits its exposure to credit risk by investing only in liquid securities and only with counterparties that have high credit rating. Management actively monitors credit ratings and given that the Company only has invested in securities with high credit ratings, management does not expect any counterparty to fail to meet its obligations.

Impairment losses

The aging of trade debts at the reporting date was:

	2025		2024	
	Gross	Impairment	Gross	Impairment
	Rs '000		Rs '000	
Not yet due	19,574,116	–	858,546	–
Past due 1–30 days	579,096	–	85,086	–
Past due 31–60 days	–	–	–	–
Past due 61–90 days	–	–	–	–
Over 90 days	1,758	1,758	1,758	1,758
	20,154,970	1,758	945,390	1,758

The management believes that no impairment allowance is necessary in respect of trade debts since significant amount of past due debts are secured by way of bank guarantees.

b) Liquidity risk

Liquidity risk is the risk that the Company will not be able to meet its financial obligations as they fall due. The Company's approach to manage liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The Company ensures that it has sufficient cash on demand to meet expected cash outflows during its operating cycle, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters. The Company monitors rolling forecasts of the liquidity reserve (comprising undrawn borrowing facilities and cash and cash equivalents) on the basis of expected cash flows. In addition, the Company's liquidity management policy involves projecting cash flows in major currencies and considering the level of liquid assets necessary to meet the cash flow requirements and maintaining the debt financing plans.

The table below analyses the Company's financial liabilities into relevant maturity groupings based on the remaining period at the reporting date, to the contractual maturity dates. The amounts disclosed in the table are the contractual undiscounted cash flows and also include the impact of estimated future interest payments.

	Carrying amount	Within 1 year	1 to 5 years	More than 5 years
			Contractual Amount	
	Rs '000	Rs '000	Rs '000	Rs '000
December 31, 2025				
Long term borrowings and accrued interest	61,806,110	11,556,110	50,250,000	–
Trade and other payables	164,521,446	164,521,446	–	–
Unclaimed dividend	850,812	850,812	–	–
Short term borrowings and accrued interest	19,028,812	19,028,812	–	–
	246,207,180	195,957,180	50,250,000	–
December 31, 2024				
Long term borrowings and accrued interest	38,917,672	7,617,672	31,300,000	–
Trade and other payables	160,280,647	160,280,647	–	–
Unclaimed dividend	662,885	662,885	–	–
Short term borrowings and accrued interest	31,484,642	31,484,642	–	–
	231,345,846	200,045,846	31,300,000	–

The contractual cash flow relating to long and short term borrowings have been determined on the basis of expected mark up rates.

c) Market risk

Market risk is the risk that the value of the financial instrument may fluctuate as a result of changes in market interest rates or the market price due to change in credit rating of the issuer or the instrument, change in market sentiments, speculative activities, supply and demand of securities and liquidity in the market. The Company incurs financial liabilities to manage its market risk. All such activities are carried out with the approval of the Board. The Company is exposed to interest rate risk, currency risk and market price risk.

i) Currency risk

Currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. Currency risk arises mainly from future commercial transactions of receivables and payables that exist due to transactions in foreign currencies.

Exposure to Currency Risk

The Company is exposed to currency risk on bank balance and investments which are denominated in currency other than the functional currency of the Company. The Company's exposure to foreign currency risk is as follows:

	2025		2024	
	Rs '000	USD '000	Rs '000	USD '000
Bank balance	89	0.32	5,545	19.92
Investments (Term deposit receipts)	5,530,553	19,713	5,258,558	18,892

The following significant exchange rates applied during the year:

	2025	2024	2025	2024
	Average rate		Reporting date rate	
US Dollars	280.97	273.81	280.55	278.35

Sensitivity analysis

A 10% strengthening of the functional currency against foreign currencies at December 31 would have decreased profit after tax by Rs 337,369 thousand (2024: Rs 321,110 thousand). A 10% weakening of the functional currency against foreign currencies at December 31 would have had the equal but opposite effect of these amounts. The analysis assumes that all other variables remain constant.

ii) Interest rate risk

The interest rate risk is the risk that the fair value or the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. Majority of the interest rate exposure arises from short term borrowings, long term borrowings, long term investments, loans and advances, short term investments and deposits with banks. At the reporting date the interest rate risk profile of the Company's interest bearing financial instruments is:

	2025	2024
	Carrying amount	
	Rs '000	Rs '000
Fixed rate instruments		
Financial assets	9,033,722	11,434,218
Variable rate instruments		
Financial assets	8,247,740	12,255,976
Financial liabilities	79,894,647	69,478,908

Fair value sensitivity analysis for fixed rate instruments

The Company is not exposed to variations in profit and loss on its fixed rate financial instruments.

Cash flow sensitivity analysis for variable rate instruments

A change of 100 basis points in interest rates at the reporting date would have increased / (decreased) profit by the amounts shown below. This analysis assumes that all other variables, in particular foreign currency rates, remain constant. The analysis is performed on the same basis for 2024.

	100 basis points increase	100 basis points decrease
	Rs '000	Rs '000
December 31, 2025		
Cash flow sensitivity – Variable rate instruments		
Financial assets	50,311	(50,311)
Financial liabilities	(487,357)	487,357
December 31, 2024		
Cash flow sensitivity – Variable rate instruments		
Financial assets	74,761	(74,761)
Financial liabilities	(423,821)	423,821

iii) Price risk

Price risk represents the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices (other than those arising from interest rate risk or currency risk), whether those changes are caused by factors specific to the individual financial instrument or its issuer, or factors affecting all similar financial instruments traded in the market.

Sensitivity analysis – price risk

For quoted investments classified as fair value through other comprehensive income, a 1% increase in market price at reporting date would have increased equity by Rs 4,668 thousand (2024: Rs 18,388 thousand); an equal change in the opposite direction would have decreased equity after tax by the same amount. For investments classified as fair value through profit or loss, the impact on profit would have been an increase or decrease by Rs 1,098,068 thousand (2024: Rs 1,208,932 thousand). The analysis is performed on the same basis for 2024 and assumes that all other variables remain the same.

40.4 Interest rates used for determining fair value

The interest rates used to discount estimated cash flows, when applicable, are based on the government yield curve at the reporting date plus an adequate credit spread. For instruments carried at amortized cost, since the majority of the interest bearing investments are variable rate based instruments, there is no difference in carrying amount and the fair value. Further, for fixed rate instruments, since there is no significant difference in market rate and the rate of instrument and therefore most of the fixed rate instruments are short term in nature, fair value significantly approximates to carrying value.

40.5 Fair values

Fair value versus carrying amounts

The fair values of financial assets and liabilities, together with the carrying values shown in the statement of financial position, are as follows:

	2025		2024	
	Carrying value	Fair value	Carrying value	Fair value
	Rs '000		Rs '000	
Assets carried at amortised cost				
Long term loans and advances	2,407,462	2,407,462	1,785,266	1,785,266
Long term investments	–	–	3,299,093	3,299,093
Long term deposits	91,021	91,021	91,021	91,021
Trade debts	20,153,212	20,153,212	943,632	943,632
Loans and advances	2,979,718	2,979,718	1,373,478	1,373,478
Deposits	7,488	7,488	8,938	8,938
Other receivables	1,670,439	1,670,439	2,643,246	2,643,246
Short term investments	7,362,070	7,362,070	6,258,558	6,258,558
Cash and bank balances	8,343,408	8,343,408	12,392,044	12,392,044
	43,014,818	43,014,818	28,795,276	28,795,276
Assets carried at fair value				
Long term investments	6,682,618	6,682,618	3,476,331	3,476,331
Short term investments	174,093,671	174,093,671	197,723,555	197,723,555
	180,776,289	180,776,289	201,199,886	201,199,886

	2025		2024	
	Carrying value	Fair value	Carrying value	Fair value
	Rs '000		Rs '000	
Liabilities carried at amortised cost				
Long term borrowings				
(including current portion)	61,300,000	61,300,000	38,200,000	38,200,000
Trade and other payables	164,521,446	164,521,446	160,280,647	160,280,647
Mark–up and profit accrued	940,275	940,275	923,406	923,406
Short term borrowings	18,594,647	18,594,647	31,278,908	31,278,908
Unclaimed dividend	850,812	850,812	662,885	662,885
	246,207,180	246,207,180	231,345,846	231,345,846

Fair value hierarchy

The table below analyses financial instruments carried at fair value, by valuation method. The different levels have been defined as follows. There were no transfers amongst the levels during the year.

Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities

Level 2: inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices)

Level 3: inputs for the asset or liability that are not based on observable market data (unobservable inputs).

	Level 1	Level 2	Level 3
	Rs '000	Rs '000	Rs '000
December 31, 2025			
Assets carried at fair value			
Long term investments – FVTOCI & FVTPL	–	765,178	5,917,440
Short term investments – FVTOCI & FVTPL	174,093,671	–	–
	174,093,671	765,178	5,917,440
December 31, 2024			
Assets carried at fair value			
Long term investments – FVTOCI & FVTPL	1,715,978	740,182	1,020,171
Short term investments – FVTOCI & FVTPL	195,449,352	2,274,203	–
	197,165,330	3,014,385	1,020,171

40.5.1 Valuation techniques and significant unobservable inputs

Following table shows the valuation techniques used in measuring level 3 fair values, as well as significant unobservable inputs used.

Type	Valuation technique	Significant unobservable input	Sensitivity analysis	
			1% increase Rs '000	1 % decrease Rs '000
Unlisted Preference Shares	DCF method	Discount rate of 10.39% p.a.	(59,174)	59,174

		2025	2024
		Rs '000	Rs '000
40.5.2	**Reconciliation of level 3 fair values**		
	Balance as at January 1,	1,020,171	–
	Investment during the year	4,897,269	1,020,171
	Balance as at December 31,	5,917,440	1,020,171

40.5.3 Determination of fair values

A number of the Company's accounting policies and disclosures require the determination of fair value, for both financial and non–financial assets and liabilities. Fair values have been determined for measurement and / or disclosure purposes based on the following methods.

Investment at fair value through profit and loss

The fair value of held for trading investment is determined by reference to their quoted closing repurchase price at the reporting date.

Investment at fair value through other comprehensive income

Investments at fair value through other comprehensive income are determined by reference to their quoted closing repurchase price at the reporting date and where applicable it is estimated as the present value of future cash flows, discounted at the market rate of interest at the reporting date.

Investment in associate and subsidiary

The fair value of investment in listed associate and subsidiary is determined by reference to their quoted closing bid price at the reporting date. The fair value is determined for disclosure purposes.

Non–derivative financial assets

The fair value of non–derivative financial assets is estimated as the present value of future cash flows, discounted at the market rate of interest at the reporting date. This fair value is determined for disclosure purposes.

Non–derivative financial liabilities

Fair value is calculated based on the present value of future principal and interest cash flows, discounted at the market rate of interest at the reporting date.

41. RELATED PARTY TRANSACTIONS

41.1 Following are the related parties with whom the Company had entered into transactions during the year:

Related party	Basis of relationship	Aggregate % age shareholding in the Company
Fauji Foundation	Holding company	43.70%
Lt Gen Anwar Ali Hyder, HI(M) (Retired)	Director	–
Mr. Jahangir Piracha	Director	0.00913%
Mr. Saad Amanullah Khan	Director	0.00004%
Ms. Maryam Aziz	Director	0.00001%
Mr. Yassir Ghiyati Ibn Ziyad	Director	–
Mr. Qamar Haris Manzoor	Director	0.00056%
Syed Bakhtiyar Kazmi	Director	–
Mr. Shoaib Javed Hussain	Director	–

Related party	Basis of relationship	Aggregate % age shareholding in the Company
Maj. Gen Aneeq Ur Rehman Malik, HI(M) (Retd)	Director	–
Mr. Mazhar Abbas Hasnani	Director	–
Mr. Saif Anjum	Director	–
Mr. Farhad Shaikh Mohammad	Director	0.03162%
Dr. Shamshad Akhtar	Director	0.00001%
Mr. Mohammad Majid Munir	Director	–
Syed Shahzad Nabi	Director	–
Mr. Syed Atif Ali	Key management personnel	–
Mr. Ather Javed	Key management personnel	–
Mr. Wajid Ishaq Bhatti	Key management personnel	–
Mr. Muhammad Abdullah	Key management personnel	0.00004%
Syed Imran Shah	Key management personnel	–
Syed Iftikhar Ahmad Kirmani	Key management personnel	–
Syed Aamir Abbas	Key management personnel	–
Mr. Aamer Fayyaz	Key management personnel	0.00003%
Mr. Usman Ghani	Key management personnel	0.00001%
Mr. Muhammad Tariq	Key management personnel	–
Mr. Salar Malik	Key management personnel	0.00142%
Mr. Shahbaz Ahmad Khan	Key management personnel	–
Syed Farooq Ahmed Bokhari	Key management personnel	–
Mr. Muhammad Qamar Ul Islam	Key management personnel	–
Mr. Tauqeer Alam Gilani	Key management personnel	–
Mr. Zulfiqar Ali Haider	Key management personnel	–
Mr. Ali Ashfaq	Key management personnel	–
Chaudhary Muhammad Azhar Nawaz	Key management personnel	
Mr. Masoom Hussain	Key management personnel	–
Mr. Muhammad Abdul Bari	Key management personnel	–
Mr. Sajid Majeed	Key management personnel	–
Mr. Wasim Ejaz	Key management personnel	–
Mr. Muhammad Javed Akhtar	Key management personnel	–
Mr. Shakeel Ahmed	Key management personnel	–
Brig Edgar Felix (Retd)	Key management personnel	–
Brig Akhtar Nazir Khan (Retd)	Key management personnel	–
Brig Syed Haider Ali Naqvi (Retd)	Key management personnel	–
Col Muhammad Haseeb Azam (Retd)	Key management personnel	–
Brig Khurram Shahzada (Retd)	Key management personnel	–
Mr. Jahan Zeb	Key management personnel	–
Mr. Khurram Saleem	Key management personnel	–
Mr. Muhammad Afzal	Key management personnel	–
Mr. Saad Ullah Khan Lodhi	Key management personnel	–
Mr. Muhammad Ali Janjua	Key management personnel	
Mr. Atif Nadeer	Key management personnel	0.00001%
Provident Fund Trust	Contributory provident fund	0.10950%
Gratuity Fund Trust – I	Defined benefit fund	0.08469%
Gratuity Fund Trust – II	Defined benefit fund	0.00325%
Pension Fund Trust	Defined benefit fund	0.04336%
Fauji Foods Limited	Subsidiary company	47.84%
FFC Energy Limited	Subsidiary company	100.00%
Fauji Fresh n Freeze Limited	Subsidiary company	100.00%
Foundation Wind Energy – I Limited	Subsidiary company	100.00%

Related party	Basis of relationship	Aggregate % age shareholding in the Company
Foundation Wind Energy – II Limited	Subsidiary company	80.00%
Olive Technical Services (Private) Limited	Subsidiary company	100.00%
FFBL Power Company Limited	Subsidiary company	75.00%
Askari Bank Limited	Associated company	64.72%
Agritech Limited	Associated company	37.36%
Thar Energy Limited	Associated company	30.00%
Fauji Meat Limited	Common directorship	0.00%
Pakistan Maroc Phosphore S.A., Morocco	Common directorship	37.50%
Fauji Cement Company Limited	Common directorship	4.29%
Mari Petroleum Company Limited	Common directorship	–
Sona Welfare Foundation	Associated undertaking	–

41.2 Following particulars relate to associated companies incorporated outside Pakistan with whom the Company had entered into transactions during the year:

Particulars	Pakistan Maroc Phosphore S.A., Morocco
Name of associated company	Pakistan Maroc Phosphore S.A.
Basis of association	Joint Venture of OCP Group and Fauji Group
Aggregate %age of shareholding by the Company	37.5% Equity Investment by the Company

41.3 Fauji Foundation holds 43.70% (2024: 43.51%) shares of the Company at the year–end. Therefore all subsidiaries and associated undertakings of Fauji Foundation are related parties of the Company. The related parties also comprise of directors, major shareholders, key management personnel, entities over which the directors are able to exercise influence, entities under common directorship and employees' funds. Material transactions with related parties and the balances outstanding at the year–end are given below. Loans and advances to executives and remuneration of chief executive, directors and executives are disclosed in notes 17, 22 and 36 to the financial statements respectively. Unless otherwise stated, none of the transactions incorporate special terms and conditions. Outstanding balances are usually settled in cash.

	2025	2024
	Rs '000	Rs '000
HOLDING COMPANY		
Transactions		
Dividend paid	30,653,059	11,059,058
Cost recharge	1,049,598	1,362,347
Sale of investment property	–	855,958
Sale of fertilizer	9,242	8,091
Others	669,939	83,039
Balances		
Balance payable – unsecured	537,059	835,271
SUBSIDIARY COMPANIES		
Transactions		
(Decrease) in letters of comfort/ guarantees	(2,117,186)	(23,752)
Equity investment in Fauji Fresh n Freeze Limited	–	5,000,000
Equity investment in OLIVE Technical Services (Pvt) Limited	–	80,000
Advance under revolving credit facility	1,710,000	1,547,500
Payment received under revolving credit facility	1,755,000	3,297,500
Interest income	38,839	64,911
Rental income	42,954	38,159
Dividend income	9,047,572	7,579,121
Materials and services provided	1,149,267	644,028
Power and steam purchased during the year	20,512,328	12,373,992
Expenses incurred on behalf of subsidiary companies	275,115	176,649
Receipt against expenses on behalf of subsidiary companies	287,534	10,993
Sale of fertilizer	–	77,111
Balances		
Balances payable – unsecured	1,568,678	2,341,368
Balance receivable – unsecured	970,112	991,225
ASSOCIATED UNDERTAKINGS / COMPANIES DUE TO COMMON DIRECTORSHIP		
Transactions		
Expenses charged on account of marketing of fertilizer on behalf of associated company	481,057	679,653
Commission on sale of products	7,249	11,337
Sale of fertilizer	150,347	89,737
Payments under consignment account – net	25,504,675	76,743,428
Payments against purchase of gas and PEF project	58,842,675	57,452,107
Purchase of raw materials and others	118,064,153	43,231,373
Investment during the year	3,858,798	10,992,049
Loan provided during the year	1,318,294	–
Services and materials provided	34,446	39,304
Services and materials received	–	6,349
Donations	1,717,992	764,812
Interest expense	754,734	238,185
Interest income	34,008	881,177
Dividend income	13,369,449	3,249,627

	2025	2024
	Rs '000	Rs '000
Balances		
Short term borrowings	7,969,117	17,954,517
Cash and bank balances	21,008	24,485
Balance receivable	2,169,150	465,280
Balance payable	94,410,799	89,817,341
STAFF RETIREMENT BENEFITS		
Contribution		
Employees' Provident Fund Trust	800,198	702,389
Employees' Gratuity Fund – I Trust	394,051	385,115
Employees' Pension Fund Trust	28,507	43,448
Employees' Funds as Dividend on equity holding		
0.24% (2024: 0.23%)	170,068	62,579
Balances		
Balance receivable/ (payable) – Gratuity Fund – I	486,929	(504,575)
Balance receivable – Gratuity Fund – II	266,606	181,166
Balance receivable – Pension Fund Trust	824,327	912,625
OTHERS		
Transactions		
Remuneration and benefits of key management personnel		
(No. of person(s): 36 (2024: 37))	1,178,297	1,210,004
Balances		
Loans and advances	153,322	173,470

42. OPERATING SEGMENTS

The financial statements have been prepared on the basis of a single reportable segment. Revenue from external customers for products of the Company is disclosed in note 27 to the financial statements.

43. INTEREST IN JOINT ARRANGEMENTS

In the year 2022, the Company, Engro Fertilizer Company Limited (EFERT) and Fatima Fertilizer Company Limited (FATIMA) entered into a Framework Agreement (the Agreement) for Gas Pressure Enhancement Facilities (PEF) project dated November 30, 2022. Under the Agreement, the Company, EFERT and FATIMA have decided to jointly develop and install pressure enhancement facilities at the MPCL's delivery node to sustain the current level of pressure of gas supply from HRL reservoir of Mari Petroleum Company Limited (MPCL).

All decisions with respect to development and operations of PEF would be made only with unanimous consent of the Company, EFERT and FATIMA. Accordingly, PEF arrangement would be classified as a 'Joint Arrangement' in accordance with IFRS – 11. Further, PEF would not be established through a separate legal entity and consists of an asset i.e. PEF facility which will be jointly owned and operated by the Company, EFERT and FATIMA, hence, the joint arrangement for establishment and operations of PEF has been classified as a 'Joint Operations' in these financial statements. Current cost sharing percentages in PEF of the Company, EFERT and FATIMA are 47.7%, 33.9% and 18.4%, respectively.

The Company has recognised its share of jointly held assets and liabilities of the joint operation under the appropriate heads and disclosed the same in related notes to the financial statements. "

44. NON ADJUSTING EVENTS AFTER REPORTING DATE

44.1 The Board of Directors in its meeting held on January 29, 2026 has proposed a final dividend of Rs 8.50 per share.

45. GENERAL

45.1 Production capacity

	Design capacity		Production	
	2025	2024	2025	2024
	(Tonnes '000)		(Tonnes '000)	
Urea				
Goth Machhi – Plant I	695	695	837	867
Goth Machhi – Plant II	635	635	748	830
Mirpur Mathelo – Plant III	718	718	862	858
Port Qasim – Plant IV	551	551	456	286
	2,599	2,599	2,903	2,841
DAP				
Port Qasim – Plant IV	650	650	837	452

45.2 Facilities of letters of guarantee and letters of credit

Facilities of letters of credit and letters of guarantee amounting to Rs. 80,888,000 thousand and Rs. 11,449,000 thousand (2023: Rs. 80,376,000 thousand and Rs. 8,256,000 thousand) respectively are available to the Company against lien on shipping/title documents, and charge on assets of the Company. Facilities against letter of credit include Rs. 12,023,000 (2024: Rs. 12,023,000 thousand) limits assigned for issuance of SBLCs in relation to the Company's investment in Thar Energy Limited.

45.3 Donations

Cost of Sales and Distribution Cost include donations amounting to Rs 1,051,745 thousand (2024: Rs 552,530 thousand) and Rs 666,247 thousand (2024: Rs 212,282 thousand) respectively. These are disbursed through Sona Welfare Foundation, Sona Tower, 156, The Mall, Rawalpindi (associated undertaking). Interest of Mr. Jahangir Piracha in Sona Welfare Foundation is limited to the extent of his involvement in Sona Welfare Foundation as Chairman.

	2025	2024
45.4 Number of employees		
Total number of employees at end of the year	4,235	4,118
Average number of employees for the year	4,159	3,680

45.5 Rounding–off

Figures have been rounded off to the nearest thousand of rupees, unless otherwise stated.

45.6 Corresponding figures

45.6.1 Corresponding figures have been reclassified wherever necessary to reflect more appropriate presentation of events and transactions for the purpose of better presentation in accordance with the accounting and reporting standards as applicable in Pakistan.

46. DATE OF AUTHORIZATION

These Financial Statements have been authorized for issue by the Board of Directors of the Company on January 29, 2026.

Chairman	Chief Executive	Director	Chief Financial Officer